

PRINCIPLES OF MARKETING

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UNIT – I**INTRODUCTION TO MARKETING**

INTRODUCTION TO MARKETING

Marketing is the study and management of exchange connections. It is the business process of making associations with and satisfying customers. Since marketing is utilized to attract customers, it is one of the primary components of business management and trade. Marketers can direct product to different businesses (B2B marketing) or directly to consumers (B2C marketing). Notwithstanding who is being marketed to, a few factors, including the viewpoint the marketers will utilize. These market directions decide how marketers will approach the planning phase of marketing. This leads into the marketing blend, which traces the points of interest of the product and how it will be sold. Once these factors are resolved, marketers should then choose what methods will be utilized to market the product. This decision depends on the factors analyzed in the planning stage just as where the product is in the product life cycle.

Marketing provides businesses with a competitive edge, since that is the thing that they need to do, to pick up loyal customers. Businesses accomplish this by persuading potential customers that their product is the closest thing that satisfies their needs and needs and do it consistently, with the outcome that the loyal customer begins buying from them without taking a gander at the competition. This is the thing that all businesses dream of and accomplishing this is conceivable just with a strong marketing plan set up. With the approach of the internet, there are a few marketing channels accessible to businesses, other than traditional marketing. Every one of them focuses on connecting with the customer.

MEANING OF MARKETING

A market is a social arrangement that enable buyers and sellers to find information and complete a wilful exchange of goods or services. In economics, the term market is utilized to allude to the total demand for item and the conditions and powers which decide prices. In management, then again, market is portrayed as the organization that plays out the marketing

functions and goes about as the intermediary among buyers and consumers. In regular use the word 'market' may refer to the area where goods are traded, here and there a market place.

Marketing might be defined as the assortment of exercises embraced by the firm to relate profitability to its market. Marketing in the modern setting goes past its immediate job as a process through which exchange of goods and services happens and is seen as a vital piece of the complete socio-economic framework which provides the structure inside which exercises occur. It is, along these lines, basic to comprehend the all out structure of the general public so as to increase knowledge into the genuine character of the marketing framework. Marketing includes the performance of activity in a business framework. It incorporates those activities that decide existing and got changes in the market. It likewise incorporates those activities that impact existing and potential demand. It is worried about all exercises that are worried about the physical distribution of goods and their exchange in the market place, including channel of determination, transportation, shipping, warehousing, capacity, stock control et cetera. Along these lines marketing covers a wide scope of interrelated business exercises that broaden the job of a marketer from one of selling, what has been produced, to one of affecting, what is to be produced. The principle worry of marketing is to recognize and satisfy explicit customer needs by methods for explicit products or services; wherein lies the way to profit.

DEFINITIONS OF MARKETING

To begin, here are explanations from the American Marketing Association (AMA), marketing's professional organization, and Dr. Philip Kotler, the creator of business schoolmarketing works of art. They're trailed by the different definitions in sequential order request by creator's last name.

According to the *American Marketing Association (AMA)* Board of Directors, Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.

Dr. Philip Kotler defines marketing as “the science and art of exploring, creating, and

delivering value to satisfy the needs of a target market at a profit. Marketing identifies unfulfilled needs and desires. It defines measures and quantifies the size of the identified market and the profit potential. It pinpoints which segments the company is capable of serving best and it designs and promotes the appropriate products and services.”

EVOLUTION OF MARKETING CONCEPTS

The marketing concept is the strategy that organizations implement to satisfy customers' needs, increment sales, augment profit and beat the competition. There are 5 marketing concepts that organizations receive and execute. Marketing is a department of management that attempts to structure strategies that will construct profitable associations with target consumers. Here is a concise review of the evolution of marketing concepts.

Production concept

Production concept and activities based concept where the consumer expects products that is effectively accessible and reasonable. Here, the business focuses on production productivity, bringing down expenses and mass distribution. This concept works in creating economies where the need is more for the product than the highlights it offers.

Product concept

Product concept a consumer situated concept where consumers expect products that are predominant, high-performance and with novel highlights. This concept assumes that customers are likelier to be loyal when the product meets every one of their desires thus, the business endeavours to offer creative products consistently.

Selling concept

Selling concept where the business accepts that its products will sell just through dynamic promotion and selling and the customer won't react until pushed. In short, it involves the business attempting to sell what it makes as opposed to make products to meet the market's needs.

Marketing concept

Marketing concept is radical, compared to the abovementioned and focuses on the objective market, its needs and needs and a craving to be superior to the competition while

conveying value to its market. Dissimilar to the prior concepts that depend on push marketing, it trusts in pull marketing by making brand loyalty. While the sales concept is seller-arranged, the marketing concept is buyer-situated.

Societal marketing concept

A fifth concept has evolved today, the cultural marketing concept is the perfect circumstance where, alongside the focus on the objective market's needs and needs and conveying preferable value over its competition, the business likewise endeavours to preserve the prosperity of its objective market and the general public all in all. This takes into consideration environmental and common resource preservation and limiting the carbon footprint.

Difference Between the Selling Concept and the Marketing Concept

The Selling Concept	The Marketing Concept
Embraces a large-scaleselling and promotion exertion	Embraces exercises, for example, market explore
The Selling Concept is reasonable with unsought goods those that buyers don't regularly consider buying, for example, protection or blood gifts	The Marketing Concept is reasonable for practically any type of product and market
Focus of the selling concept begins at the production level	Focus of the marketing concept begins at comprehension the market
Any company following selling concept embraces a high-risk	Companies that are following the marketing concept requires to exposed less risk and vulnerability
The Selling Concept assumes – "customers who are cajoled into buying the product will like it. Or on the other hand, in the event that they don't care for it, they will perhaps overlook their disappointment and buy it again later"	Rather than making an assumption, The marketing concept finds out what actually the consumer requires and acts as needs be to them
The Selling Concept makes poor assumptions	Marketing concept chips away at facts accumulated by its "market and

	customer first" approach
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SIGNIFICANCE/IMPORTANCE OF MARKETING

Marketing Helps in Transfer, Exchange and Movement of Goods

Marketing is useful in transfer, exchange and movement of goods. Goods and services are made accessible to customers through different intermediaries' viz., wholesalers and retailers and so on. Marketing is useful to both producers and consumers. To the previous, it tells about the particular needs and inclinations of consumers and to the last about the products that manufacturers can offer. As indicated by Prof. Haney Hansen "Marketing includes the plan of the products adequate to the consumers and the lead of those exercises which encourage the transfer of possession among seller and buyer."

Marketing is Helpful in Raising and Maintaining the Standard of Living of the Community

Marketing is over all the giving of a way of life to the network. Paul Mazur states, "Marketing is the conveyance of way of life". Professor Malcolm McNair has additionally included that "Marketing is the creation and conveyance of way of life to the general public". By making accessible the continuous inventory of goods and services to consumers at a sensible price, marketing has assumed a significant job in raising and keeping up expectations for everyday comforts of the network. Network comprises of three classes of people i.e., rich, center and poor. Everything which is utilized by these various classes of people is provided by marketing. In the modern times, with the rise of most recent marketing techniques even the less fortunate areas of society have achieved a sensible degree of expectation for everyday comforts. This is essentially due to largescaleproduction and lesserprices of products and services. Marketing has in fact, revolutionised and modernised the expectation for everyday comforts of people in modern times.

Marketing Creates Employment

Marketing is complex instrument including many people in one structure or the other. The major marketing functions are buying, selling, financing, transport, warehousing, risk bearing

and standardisation, and so on. In each such function various exercises are performed by a large number of people and bodies. Therefore, marketing offers employment to many people. It is evaluated that 40% of all out populace is directly or indirectly subordinate after marketing. In the modern period of largescaleproduction and industrialisation, job of marketing has augmented. This enlarged job of marketing has made many employment open doors for people. Banter, Huegy and Mitchell have rightly brought up that "So as to have consistent production, there must be nonstop marketing, at exactly that point employment can be supported and significant level of business movement can be preceded".

Marketing as a Source of Income and Revenue

The performance of marketing function is immensely significant, on the grounds that it is the main path through which the worry could produce revenue or income and get profits. Buskirk has brought up that, "Any movement associated with getting income is a marketing activity. It is very simple for the bookkeeper, engineer, and so on., to work under the expansive assumption that the Company will acknowledge many dollars altogether sales volume. Be that as it may, somebody should really go into the market put and get dollars from society so as to support the exercises of the company, in light of the fact that without these assets the organisation will die." Marketing does provide many chances to earnprofits in the process of buying and selling the goods, by making time, spot and ownership utilities. This income and profit are reinvested in the worry, along these lines earning more profits in future. Marketing ought to be given the best significance, since the very endurance of the firm relies upon the effectiveness of the marketing function.

Marketing Acts as a Basis for Making Decisions

A businessman is gone up against with many problems as what, how, when, what amount and for whom to produce? In the past problems was less by virtue of nearby markets. There was a direct connect among producer and consumer. In modern times marketing has become a very complex and repetitive errand. Marketing has risen as new concentrated movement alongside production. Therefore, producers are depending largely on the system of marketing, to choose what to produce and sell. With the assistance of marketing techniques a producer can control his production as needs be.

Marketing Acts as a Source of New Ideas

The concept of marketing is a dynamic concept. It has changed by and large with the progression of time. Such changes have expansive effects on production and distribution. With the quick change in tastes and inclination of people, marketing needs to come up with the equivalent. Marketing as an instrument of measurement, gives scope for understanding this new demand design and in this way produce and make accessible the goods in like manner.

Marketing is Helpful in Development of an Economy

Adam Smith has commented that "nothing happens in our nation until someone sells something". Marketing is the boss that sets the economy revolving. The marketing organisation, all the more experimentally organised, makes the economy solid and stable, the lesser the weight on the marketing function, the more fragile will be the economy.

FUNCTIONS OF MARKETING

Marketing is identified with the exchange of goods and services. Through its medium the goods and services are brought to the spot of consumption. This satisfies the needs of the customers. The accompanying exercises are attempted in regard of the exchange of goods and services:

Gathering and Analysing Market Information

Social affair and analyzing market information is a significant function of marketing. Under it, an exertion is made to comprehend the consumer altogether in the accompanying manners:

- What do the consumers want?
- In what quantity?
- At what price?
- When do they want (it)?
- What kind of advertisement do they like?
- Where do they want (it)?

What sort of distribution framework do they like? All the pertinent information about the

consumer is gathered and analysed. Based on this analysis an exertion is made to find out regarding which product has the best open doors in the market.

Marketing Planning

So as to accomplish the destinations of an organisation with respect to its marketing, the marketer chalks out his marketing plan. For instance, a company has a 25% market portion of a specific product. The company needs to raise it to 40%. So as to accomplish this target the marketer needs to set up a plan in regard of the degree of production and promotion endeavours. It will likewise be chosen with respect to who will do what, when and how. To do this is known as marketing planning.

Product Designing and Development

Product structuring assumes a significant job in product selling. The company whose product is better and attractively structured sells more than the product of a company whose plan happens to be feeble and unattractive. Along these lines, it very well may be said that the ownership of an extraordinary structure bears a company to a competitive bit of leeway. Remember that it isn't adequate to set up a plan in regard of a product, yet it is progressively imperative to create it ceaselessly.

Standardisation and Grading

Standardisation refers to deciding of standard in regards to estimate, quality, plan, weight, shading, crude material to be utilized, and so on., in regard of a specific product. Thusly, it is discovered that the given product will have a few quirks. Along these lines, sale is made conceivable based on tests. For the most part, the training the traders take a gander at the examples and put in buy request for a large amount of the product concerned. Its premise is that goods provided fit in with a similar standard as appeared in the example. Products having the equivalent characteristics (or standard) are put in a given class or evaluation. This putting is called evaluating. For instance, a company produces product – X, having three evaluations, to be specific A', 'B' and 'C', speaking to three degrees of value; best, medium and normal separately.

Customers who need best quality will be indicated 'A' grade product. Along these lines, the customer will have no doubt as far as he can say that a poor quality product has been sold

to him. Evaluating, in this manner, makes sale-buy simple. Reviewing process is generally utilized if there should be an occurrence of rural products like nourishment grains, cotton, tobacco, apples, mangoes, and so on.

Packaging and Labelling

Packaging/Bundling targets dodging breakage, harm, demolition, and so forth., of the goods during transit and capacity. Bundling encourages taking care of, lifting, and passing on of the goods. Many a period, customers demand goods in various amounts. It requires exceptional bundling. Pressing material incorporates bottles, canister, plastic packs, tin or wooden boxes, jute sacks and so on. Mark is a slip which is found on the product itself or on the bundle providing all the information with respect to the product and its producer. This can either be as a spread or a seal.

For instance, the name of the prescription on its container alongside the manufacturer's name, the recipe utilized for making the drug, date of manufacturing, expiry date, clump no., price and so forth., are printed on the slip in this manner giving all the information with respect to the medication to the consumer. The slip conveying all these is subtleties called Label and the process of getting ready it as Labelling.

Branding

Each producer/seller needs that his product ought to have extraordinary character in the market. So as to understand his desire he needs to give a name to his product which must be distinct from different competitors. Giving of distinct name to one's product is called marking. In this manner, the target of marking is to show that the products of a given company are not quite the same as that of the competitors, so it has its very own personality.

For example, if a company needs to promote its product – X under the name of "777" (triple seven) at that point its image will be classified "777". It is conceivable that another company is selling a comparable product under AAA (Triple 'A') brand name. Under these conditions, both the companies will prevail with regards to building up a distinct character of their products in the market. At the point when a brand isn't enlisted under the trade Mark Act, 1999, it becomes a Trade Mark.

Customer Support Service

Customer is the ruler of market. In this manner, it is one of the boss functions of marketer to offer each conceivable assistances to the customers. A marketer offers fundamentally the accompanying services to the customers:

- After-sales-services
- Handling customers' complaints
- Technical services
- Credit facilities
- Maintenance services

Aiding the customer along these lines offers him satisfaction and in the present competitive age customer's satisfaction happens to be the top-most need. This urges a customer's attachment to a specific product and he begins buying that product over and over.

Pricing of Products

It is the most significant function of a marketing manager to fix price of a product. The price of a product is influenced by its cost, pace of profit, price of competing product, policy of the government, and so forth. The price of a product ought to be fixed in a manner that it ought not appear to be excessively high and simultaneously it ought to earn enough profit for the organisation.

Promotion

Promotion implies informing the consumers about the products of the company and urging them to buy these products. There are four methods of promotion: (I) Advertising, (ii) Personal selling, (iii) Sales promotion and (iv) Publicity. Each decision taken by the marketer in this regard influences the sales. These decisions are taken keeping in see the spending limit of the company.

Physical Distribution

Under this function of marketing the decision about conveying things from the spot of production to the spot of consumption is considered. To accomplish this assignment, decision around four factors are taken. They are: (i) Transportation, (ii) Inventory, (iii) Warehousing and (iv) Order Processing. Physical distribution, by taking things, at the right place and at the

right time creates time and place utility.

Transportation

Production, sale and consumption-all the three exercises need not be at one spot. Had it been along these lines, transportation of goods for physical distribution would have become superfluous. In any case, for the most part it is beyond the realm of imagination. Production is completed at one spot, sale at somewhere else and consumption at one more spot. Transport office is needed for the produced goods to arrive on account of consumers. So the endeavour must have a simple access to methods for transportation. For the most part we see out and about side's private vehicles having a place with Pepsi, Coca Cola, LML, Britannia, and so on. These private transporters are the living instances of transportation function of marketing. Spot utility is accordingly made by transportation action.

Storage or Warehousing

There is a period slack between the buy or production of goods and their sale. It is extremely basic to store the goods at a protected spot during this time-interim. Godowns are utilized for this reason. Keeping of goods in godowns till the equivalent are sold is called capacity. For the marketing manager stockpiling is a significant function. Any carelessness on his part may harm the whole stock. Time utility is in this way made by capacity movement.

APPROACHES TO THE STUDY OF MARKETING

The study of marketing has been approached in more than one way. To some it has intended to sell something at a shop or market place; to some it has implied the study of individual product and its movement in the market; to some it has implied the study of people wholesalers, retailers, operators and so forth., who move the products and to some it has implied the study of conduct of war movement and the manner in which the people required to move them. The approach to the study of marketing has gone through a few phases before arriving at the present stage. There is a process of evolution in the development of these approaches. There are eight diverse approaches to the study of marketing. These approaches clarify obviously the component and concept of marketing. To encourage the study, these

distinctive approaches might be extensively delegated pursues:

Product or Commodity Approach

Under the product approach the focus is put on the product or it is an approach on the marketing on ware shrewd premise. As it were, the study identifies with the progression of a specific product and its movement from the first producer right up to a definitive customer. The topic, under this study, is item. At the point when one studies the marketing on this premise product approach, one must start to study and analyses the problems identifying with an item i.e., sources and states of supply, nature and degree of demand, method of transporting, stockpiling, institutionalization, pressing and so forth. Once more, take a case of a product, state rice. One needs to study the sources of rice, area, people engaged with buying and selling, methods for transport, problems of selling the product, financing, capacity, pressing and so on. Hence, we get a full image of the marketing from the first producer to a definitive consumer. The method of study is rehased for each item. The framework guarantees that it is straightforward and gives good result over the marketing of each product; depiction study is conceivable. And yet this approach is time-consuming and redundant process which is a disadvantage.

Institutional Approach

In the institutional approach, the focus is on the study of establishments middlemen, wholesalers, retailers, merchants, exporters, organizations, warehousing and so forth., occupied with the marketing during the movement of goods. The approach is otherwise called middlemenapproach. Here, emphasis is given to comprehend and analyses the functions of establishments, who are releasing their marketing functions. The exercises of every establishment structure a piece of marketing and on the whole complete the marketing functions. In the process of moving the goods from the producer to the final consumers, a large number of people are locked in. This framework pays thoughtfulness regarding the problems and functions of marketing foundations transporting, banks and other financial organizations, warehousing, promoting, protection and so forth. This method doesn't give sufficient information on the whole marketing functions and furthermore' neglects to clarify the interrelations of various establishments.

Functional Approach

The functional approach gives significance on the different functions of marketing. At the end of the day, one concentrates consideration on the particular services or functions performed by marketers. In this approach, marketing parts into many functions-buying, selling, pricing, institutionalization, stockpiling, transportation, publicizing, pressing and so forth. This might be studied in a steady progression. Here each function is studied in detail so as to get it and analyses the nature, need and significance of each function.

In this approach, marketing is viewed as "business of buying and selling and as including those business exercises associated with the progression of goods and services among producers and customers." This framework gives an excess of significance to different marketing functions and neglects to clarify how such functions are applied to the particular business activities.

Management Approach

This approach is the most recent and logical. It concentrates upon the exercises or marketing functions and focuses on the job of decision-production at the degree of firm. This approach is for the most part worried about how managers handle explicit problems and circumstances. It points through assessment of current market practices to accomplish explicit marketing targets. For the most part there are two factors-controllable and wild, which are progressively worried about the decision-production. Controllable incorporate price adjustment, advertisement and so on. Wild economical, sociological, mental, political and so forth are the essential reasons for market changes. What's more, these progressions can't be constrained by any firm. In any case, controllable can be constrained by the firm as far as possible the marketing openings. In that capacity, managerial approach is worried about the study of wild and afterward taking decisions for controllable inside the degree set by wild. Managerial or decision-production approach emphasizes on the down to earth parts of marketing, however overlooks the hypothetical parts of marketing. Simultaneously, this approach provides by and large information of the whole business.

System Approach

The system approach can be defined as "a lot of items together with the connections among them and their properties." Systems focus on interrelations and interconnections among the functions of marketing. The framework inspects marketing associations (linkage) inside just as outside the firm. Inside the firm there is a co-appointment of business exercises building, production, marketing, price and so forth.

Based on criticism information proper control is practiced to adjust or modify in the producing process, with the goal that the ideal yield can be produced. Here, the point is to verify profit through customer-satisfaction. Markets can be seen distinctly through the study of marketing information. For example, business is composed of many functions, which are composed of sub functions. Each function or sub-function is free, however interrelated and empowers the other to accomplish marketing destinations.

Societal Approach

This approach has been begun as of late. The marketing process is viewed as methods by which society meets its very own consumption needs. This framework gives no significance with respect to how the business meets the consumer's needs. Along these lines, consideration is paid to ecological factors (sociological, social, lawful and so on.) and marketing decisions and their effect on the general public's prosperity.

Legal Approach

This approach emphasizes just a single angle i.e., transfer of possession to buyer: It clarifies the administrative part of marketing. In India, the marketing exercises are largely constrained by Sales of Goods Act, Carrier Act and so on. The study is concentrated just on lawful viewpoints, leaving other significant angles. This doesn't give a thought of marketing.

Economic Approach

This approach manages just the problems of supply, demand and price. These are significant from the economic perspective however neglect to give a reasonable thought of marketing.

RELEVANCE OF MARKETING IN A DEVELOPING ECONOMY

Marketing has gained a significant spot for the economic development of the entire

nation. It has additionally become a need for achieving the object of social welfare. Because of it, marketing is considered to be the most significant action in a business endeavour while at the beginning period of development it was considered to be the last movement. For accommodation, the significance of marketing might be clarified as under:

Delivery of standard of living to the society

A general public is a blend of assorted people with different tastes and inclinations. Modern marketing consistently focuses on customer satisfaction. Thus, fundamental risk of marketing is to produce goods and services for the general public as indicated by their needs and tastes at sensible price. Marketing finds needs and needs of society, produces the goods and services as indicated by these needs makes demand for these goods and services. They proceed and promote the goods making people aware about them and making a demand for the goods, urging customers to utilize them. Therefore, it improves the way of life of the general public.

Decrease in distribution cost

Second significant obligation of marketing is control the expense of distribution. Through effective marketing the companies can reduce their distribution expenses as it were. Abatement in cost of distribution directly influences the prices of products in light of the fact that the expense of distribution is a significant piece of the all outprice of the product.

Increasing employment opportunities

Marketing comprises of publicizing, sales, distribution, marketing and many more exercises. So the development of marketing consequently offers ascend to a need for people to work in a few areas of marketing. Along these lines the employment openings are conceived. Additionally fruitful activity marketing exercises requires the services of various endeavours and organisation, for example, wholesalers, retailers, transportation, stockpiling, finance, protection and promoting. These services provide employment to various people.

Protection against business slump

Business droop cause unemployment, slackness in the achievement of business and extraordinary misfortune to economy. Marketing helps in protecting society against all these problems.

Increase in national income

Successful activity of marketing exercises makes keeps up and expands the demand for goods and services in the public eye. To meet this expanded demand the companies need to build the degree of production thusly raising their income. This expansion, thus, expands the national income. Further effective marketing prompts trades adding to the national income. This is valuable to the entire society.

ROLE OF MARKETING ON ECONOMIC DEVELOPMENT

Economic development, the process by which a nation improves the prosperity of its residents through political or economic implies, is impacted by an assortment of factors, including marketing. The term is regularly mistaken for economic development, which refers to an expansion in the capacity of an economy to produce goods or services after some time. In fact, economic development is just a single significant factor in the economic development of an area. There are a few factors that assume a job in improving the economic development of a nation, area or city, however the majority of these factors start at the locale's economic base. This economic base refers to the positive money stream made when an area's production of goods or services outpaces the nearby needs of the network being referred to. To make this excess, a network could implement an assortment of strategies, for example, making new openings or urging new businesses to create inside the locale. Because of these economic improvements, the locale in general starts to note economic development, which, thusly, brings about expanded duty income that can be utilized to improve framework and other government contributions.

On the off chance that the network is home to a shoe factory, for instance, most of the shoes produced in the factory would be sent out outside the network as a surplus product. The occupations made by this factory will pay the wages of its labourers, who will at that point utilize those wages to buy products and services all through the network, along these lines upgrading the network's economic base considerably further.

Direct Connections between Marketing and Economic Development

Marketing serves additionally as an economic driver in many ways, from work creation to

affecting acquisition of products and services. The process of marketing, which is the development of goods or services from conception to consumption, incorporates the coordination of four essential elements: development of a product, assurance of a price, determination of a distribution plan and implementation of a promotional strategy. Every one of these four stages directly impacts the economy. The process of bringing another product to market can include various advances, including market research and product structure. Understanding customer needs, the nature of the product's selling environment, product mock-ups and product structures could all bring about expanded occupation creation and a deluge of spending from the creating company.

Indirect Connections between Marketing and Economic Development

The marketing process includes progressively unobtrusive associations between marketing strategies and an area's economic development. Marketing utilizes publicizing to inform consumers about their products convince buyers to buy that product or remind customers that the product is accessible. To come back to the shoe factory model, consider the effects of promoting on the shoe company's primary concern. An effective promoting effort has the potential to improve the shoe company's selling limit, along these lines expanding the need for shoes. That implies the nearby shoe factory will need to expand production, bringing about an expansion in payable hours for its employees and potentially an expansion in employments at the factory. Factory labourers will acquire dispensable income to spend at different businesses in the area. Expanded spending will bring about expanded expense revenue that can be utilized to improve governmental offices and different substances that rely upon government support, as schools and medical clinics.

RESPONSIBILITIES, ROLE & FUNCTIONS OF MARKETING MANAGER

A marketing manager is somebody who manages the marketing resources of a business or product. He might be liable for different products and services or be accountable for a solitary product or service. A manager needs to have a well disposed, social and unconstrained nature. As per these characteristics, he needs to be exceptionally focused, conscientious and extremely trustworthy of meeting spending plan restraints and timetables.

FUNCTIONS OF MARKETING MANAGER

Work with top management

The principle function of marketing manager is to work with top management. He is to help the top management in deciding the marketing plans and policies with the goal that all the problems of the process of planning might be expelled and sound plans and policies might be figured.

Supervise and coordinate business activities

A marketing manager needs to build up effective co-appointment among the business exercises of procurement, sale, pressing, stockpiling, transportation, advertisement, sales promotion, after sale-services, and so on.

Identify Potential Markets

To make and expand the demand of the goods and services produced by the undertaking, the marketing manager needs to recognize new potential markets and furthermore needs to keep up the connections among the current markets for their endeavour and its products.

Evaluate the Product

In the technological field, the needs and demands of the customers changes time to time. In this manner, it becomes essential for the marketing manager to study every one of these progressions and assess the product intermittently with the goal that important adjustments and changes might be made in the product.

Launch new product or services

To attract new customers and hold old customers, marketing manager study needs and demands of the market. As per it, he dispatches new goods and services to satisfy the current customers and to attract new customers (or consumers).

Select the Channels of Distribution

The physical distribution of goods and services through many channels viz. wholesalers, retailers, and so on is chosen by the marketing manager. According to the needs of the firm, he chooses the particular channel and supplies the finished products from producers to

consumers.

Create a marketplan

As indicated by the marketing idea of the firm, the marketing manager makes an activity plan to decide when, how, where and by whom the marketing exercises viz. sales gauge, advertisement, sales promotion, distribution of products, and so on ought to be done to accomplish marketing objectives.

Study the Economic and Political Environment

To endure and get achievement in the business, the marketing manager not just needs to study the economic, social and the political environment of the business venture yet additionally needs to adhere to the government rules and guidelines, social standards and social values, local settlements and worldwide alignment, economic rules and assessment policies of the government. Subsequent to analyzing all these factors, he figures the business strategies for the customer satisfaction and profit amplification of the undertaking. Therefore, we can say, business organization is a powerful substance since it works in the dynamic business environment.

RESPONSIBILITIES OF MARKETING MANAGER

Marketing manager is the individual liable for managing the allotment of resources to marketing exercises. Marketing exercises are the exercises which decide the achievement or disappointment of an endeavour. A portion of the obligations of marketing manager are as per the following:

Responsibilities towards Enterprise

The marketing manager is a truly mindful position to accomplish the pre-decided objectives of a venture. To build the respect and earning of the firm, he needs to plan, organize, co-ordinate and control all the marketing exercises. He has the obligation to

- Gather the after-effects of market research and choose and control the amount and nature of production.
- Sale anticipating, product planning and price obsession.
- Prepare a guide of advertisement and sales promotion and determine the channels of

distribution for goods and services.

- Control credit policy of the firm and furthermore the expense of marketing exercises.
- Arrange for after-sale-services and expel the problems of consumers.

Responsibilities towards Employees

A Marketing Manager has an incredible obligation towards' the employees of his department. For his employees, he has the duty to provide them proper training and compensation. Different duties of marketing manager towards his employees are to

- Commence plans for their welfare.
- Motivate them, which indirectly benefits in the development of the firm.
- Evaluate the performance of employees and get the recommendations and the problems of employees.
- Co-ordinate the exercises distinctive employees

Responsibilities towards Society

A Marketing Manager has an extraordinary duty towards his general public too. He has the obligation to

- Provide new goods and services according to the needs and needs of society.
- Maintain standard stockpile of goods and services at sensible prices in the market.
- Increase the employment openings.
- Protect society against the effects of economic droop.

Responsibilities towards Customers

Following are the duties of a Marketing Manager towards customers (or consumers):

- To study the needs and needs of consumers and as indicated by it satisfy their demands.
- To make the customary stock of goods and services.
- To provide after sale-services.
- To educate the consumers with respect to elective employments of products.
- To expel complaints of consumers

UNIT – II

TYPES OF MARKETING

TYPES OF MARKETING

Above the line [ATL] marketing

Above the line marketing is utilizing mass media to market to a wide crowd. It's something contrary to underneath the line marketing, which is increasingly explicit and focused on marketing. The quality of over the line marketing is potential come to; the drawback is frequently significance.

Account-based marketing

Account based marketing is an option B2B marketing strategy that objectives customers who have a specific type of record. It's a type of segmentation [and in marketing, particularity is constantly a good thing].

Acquisition marketing

This is a marketing strategy that is sole reason for existing is to carry new customers or customers to a business. A definitive point is to make a securing marketing strategy those sudden spikes in demand for autopilot.

Affiliate marketing

Affiliate/Subsidiary marketing is the demonstration of marketing another person's image, site, product or service as an end-result of a charge. The expense is performance-based. The more fruitful the member marketing is, the more the subsidiary will get paid.

Affinity marketing

Otherwise called association marketing, affinity marketing is tied in with making strategic, commonly useful organizations.

Agile marketing

Agile marketing is tied in with being open, open and receptive to change with your marketing strategy. As the name recommend, it's tied in with being adaptable and not adhering to an unbending plan. You could state, at that point, that dexterous marketing is a greater amount of a disposition than a strategy. Motivation for the term comes from the techie

universe of coordinated development, where emphases to software would be consistent and incremental.

Alliance marketing

Likewise with affinity or association marketing, coalition marketing is around two businesses working together. The distinction with partnership marketing is that the cooperation runs further. Companies that are collaborating [because it tends to be more than one] pool their resources to promote and sell a product or service.

Ambush marketing

A business that utilizes ambush marketing will attempt to relate its products or services with an occasion that as of now has official backers. As the name recommends, companies utilize this ease strategy to ambush occasions and compete for presentation against competitors.

Article marketing

Article marketing is a type of promoting in which businesses compose articles and afterward strategically set on the internet. Articles need to be about subjects significant to your industry. When composed, they're distributed to news outlets, article banks, discussions, PR locales and article accommodation destinations. As it were article marketing is like substance marketing, however the articles don't exist alone site. In that capacity, the value of article marketing is sketchy.

Augmented marketing

Augmented marketing is adding value to a proposition through an extra, creative offer. The word 'augmented' signifies "having been made more prominent in size or value". So by laying on extra benefits, augmented marketing builds the odds of a sale.

Behavioural marketing

Behavioural/Conduct marketing will be marketing to consumers that are mechanized, however nonetheless dependent on their conduct. It is an internet marketing strategy. Normally, practices that trigger a certain marketing message would be the point at which somebody:

- Clicks on a link.
- Visits a certain web page.
- Downloads a PDF.
- Buys something.
- Shares or likes a post on social media

Augmented marketing

Augmented marketing is adding value to a proposition by means of an extra, inventive offer. The word 'augmented' signifies "having been made more noteworthy in size or value". So by laying on extra benefits, augmented marketing builds the odds of a sale.

Below the line [BTL] marketing

Underneath the line marketing is focused on marketing that doesn't utilize mass media [so not things like TV, radio, social media and comparable things that are broadly consumed]. It's something contrary to over the line marketing. Beneath the line marketing is progressively close to home and, subsequently, regularly more effective than over the line marketing.

Black hat marketing

Black hat marketing is the general term for unethical SEO strategies. Google analyzes sites against specific criteria before choosing what to rank where. There are methods for tricking the framework, yet doing so would bet with your business. It's simply not justified, despite any potential benefits. Any additions are probably going to be present moment; if Google gets on, you can anticipate that your site should bring about a punishment.

Brand marketing

Brand marketing is the concept of marketing a character [and not a product or service]. Most businesses realize that they need to work out their image situating. They need to comprehend a big motivator for them, what their USPs are and what the impression of their company is. Here and there, unquestionably over the long haul, it pays off to impart values over items on the grounds that it's progressively helpful for empowering customer engagement and loyalty.

Brick and mortar marketing

Simply, block and cement marketing is any type of marketing that exists in a retail shop.

Business to business [B2B] marketing

Simply, B2B marketing happens when one business markets a product or service to another. Bunches of businesses market what they sell to different companies. For example, protection companies' offer spread to shops [for both staff and consumers].

Business to consumer [B2C] marketing

B2C marketing refers to any marketing that is explicitly committed to consumers. Clearly, consumers are marketed to all over, throughout the day and throughout the night. Garments outlet next distributes adverts that address a specific deliberately considered persona.

Business to people [B2P] marketing

Business to people marketing is a B2B marketing strategy which recognises that, as a general rule, it's not the businesses [as entities] that are buying what you're attempting to sell. It's in reality still people that are doing the buying (as decision producers). This move in context brings about bespoke, individual marketing [which is in every case more effective].

Buzz marketing

Buzz marketing will be marketing that tries to instigate dramatization, excitement and expectation about a product. At the point when it works, buzz marketing is stunning. The difficulty is, in the event that you get a crusade wrong, everything can crash and burn. A poor outcome can even unleash destruction with your image picture. Apple is extraordinary at buzz marketing. They sell incredible contraptions however have in any case aced the craft of building excitement without saying a lot.

Call centre marketing

Call centre marketing happens when a business approves a pro company [a call focus or contact centre] to cold pitch people [and market a product or service]. We should assume a bookkeeping firm needed to publicize their services. What's more, we should likewise envision that they needed to market their image to small businesses. On the off chance that they felt that cold pitching was their best play they face two or three problems. Right off the bat, there's the strategic issue of making the calls. To what extent is it going to take to get the telephone numbers and make the calls? Who will do it? Secondly, what constitutes a good

cold pitch? Not every person can do it; there's clearly a skill to marketing to strangers via telephone. One arrangement is to utilize a call focus to cold pitch people for you.

Call to action [CTA] marketing

This is the name given to any internet marketing insurance that prompts somebody to make a particular move. In this way, we're discussing any standards, catches, duplicate or illustrations that ask users to accomplish something [like download a PDF, subscribe to a newsletter or click a link].

Catalogue marketing

Cataloguemarketing is the demonstration of utilizing a list to grandstand products or services. It's a type of direct marketing that is generally well known with mail request retailers. Index marketing may appear as though a marginally antiquated type of marketing, be that as it may, maybe shockingly, research demonstrates the people still like having the option to look over a list. There is something in particular about physical marketing that works.

Cause marketing

Cause marketing is connecting a type of beneficent or helpful point to a product, service or brand. Critically, cause marketing possibly works when you find a reason that both the business and its customers care about.

Celebrity marketing

Celebritymarketing is getting a big name to underwrite a product. The rationale is that superstar endorsements increment sales on the grounds that consumers can associate and relate to somebody. As such, to them, it feels like they're buying from the superstar and not an unremarkable business. Strikingly, despite the fact that this strategy is known as big name marketing, a product doesn't need an endorsement from an acclaimed whiz. The 'big name' simply needs to be an individual who is outstanding to the intended interest group.

Channelmarketing

Channelmarketing is any marketing strategy that helps a product or service come to the consumer in a snappier, progressively productive way. In business, a 'channel' is every one of the exercises and people associated with taking something from production to consumption.

That is stuff like manufacturers, wholesalers, distributors, retailers, marketing guarantee and suchlike.

Close range marketing [CRM]

Brands who like short proximity marketing use WiFi or Bluetooth to send promotional messages to customers' cell phones or tablets. This is normally an in-store understanding, on the grounds that the customer's gadget must be inside scope of the shop's transmitter or reference point. Otherwise called proximity marketing, short proximity marketing is a very modern strategy.

Closed loop marketing

Closed loop marketing is the demonstration of utilizing information and performance information to produce progressively effective marketing strategies. By analysing what's working with a crusade and what isn't, a business can wipe out a level of mystery from their next project. As the expression goes, this reduces vulnerability and 'shuts the circle'.

Cloud marketing

Cloud marketing is just utilizing all the modern apparatuses on the internet to persistently interface with and market to customers. Today, businesses can surface the equivalent marketing message in numerous spots. So you may see one promotion advert in an email, on a site, on Twitter, on YouTube, or in your Facebook channel.

Communal marketing

Communal marketing happens when a business utilizes customers' tales about a product or service in a promotional crusade. It's marketing that expects to make a more profound security between a business and its customers. It's effective in light of the fact that the people are genuine. At the point when they talk about their encounters, it helps non-customers relate to the product simpler. They can see themselves feeling and encountering very similar things.

OTHER IMPORTANT MARKETING TYPES

TELE-MARKETING

Telemarketing is the demonstration of selling, requesting, or promoting a product or

service via phone; the phone is the most cost-efficient, adaptable, and measurably responsible medium accessible. Simultaneously, the phone is still exceptionally cozy and individual. It is individual to person.

Telemarketing is the process of utilizing the phone to create drives, make sales, or accumulate marketing information. Telemarketing can be an especially significant apparatus for small businesses, in that it spares time and money as compared with individual selling, yet offers many of similar advantages as far as direct contact with the customers. Telemarketing is particularly valuable when the customers for a small business products or services are situated in difficult to-arrive at places, or when many prospects must be reached so as to find one keen on making a buy.

Albeit some small businesses work only by phone, telemarketing is frequently utilized as a major aspect of a general marketing programme to integrate publicizing and individual selling endeavours. For instance, a company may send early on information through the mail, at that point catch up with a telemarketing call to survey the prospect's advantage, and finally send a salesperson to visit.

Types of Telemarketing

Telemarketing can be either inbound or outbound in scope.

Inbound Telemarketing

It consists of taking care of approaching phone calls regularly produced by communicate publicizing, direct mail, or indexes and taking requests for a wide scope of products. The agents working in this type of telemarketing programme regularly don't need as much training as the outbound delegates.

Outbound Telemarketing

It very well may be pointed directly toward the end consumer; for instance, a home fix business may call people to search for prospects and customers. Agents taking a shot at this side of the industry by and large require more training and product information, as progressively genuine selling is associated with comparison to the inbound activities.

Advantages of Telemarketing

Human interaction

One of the points of interest telemarketing has over other direct marketing methods is that it includes human association.

Small businesses

Telemarketing can be an especially important device for small businesses, in that it spares time and money as compared to individual selling, however offers many of similar advantages as far as direct contact with customers.

Customer service

Building a loyal customer base is a fundamental factor in setting up a long haul business achievement and expanding the value of the company. Telemarketing customer services can pick up rehash requests and increment the penetration of the customer base. Telemarketing has the benefits of conveying amazing customer service.

Reduces cost

As the expenses of field sales keep on heightening, businesses are utilizing telemarketing as an approach to reduce the expense of selling. It is additionally simpler to speak with customers. The vast majority of the marketing endeavours are directed towards select markets, so the expense per individual reached is less.

Flexibility

It is the most adaptable type of direct marketing. It helps in knowing and understanding what customers need, and are set up to buy. Study can be led with the benefits of telemarketing, realizing what customers are searching for, the product or service, the brand, and so forth. One can constantly refresh the customer information base.

Response measurement

Response measurement is conceivable by knowing the effectiveness of promoting. The outcomes can be compared with the ones recently settled, and the future plans can be founded on such outcomes.

Disadvantages of Telemarketing

1. An expanding number of people have become disinclined to telemarketing.
2. No visual contact with the customer is conceivable.
3. More people are utilizing technology to screen out undesirable guests, especially

telemarketers.

4. Government is implementing harder measures to control corrupt telemarketers.
5. If enlisting an outside firm to do telemarketing, there is lesser control in the process, given that the people doing the calls are not your employees.
6. A phone conversation has short memory.
7. Pre-buy assessment of goods unrealistic.
8. It can be amazingly costly, especially if telemarketing is outsourced to an outside firm.

E-MARKETING

E-Marketing (Electronic Marketing) are otherwise called InternetMarketing, Web Marketing, Digital Marketing, or Online Marketing. E-marketing is the process of marketing a product or service utilizing the Internet. E-marketing incorporates marketing on the Internet, yet in addition incorporates marketing done by means of email and remote media. It utilizes a scope of technologies to help interface businesses to their customers. Like many other mediachannels, e-marketing is likewise a piece of coordinated marketing correspondences (IMC), which enables a brand to develop crosswise over various channels. E-marketing has become a urgent strategy in the marketing strategy embraced by companies utilizing a few advanced mediachannels.

Advantages of E-marketing

Certain advantages of e-marketing are discussed as below:

1. Much preferred profit for investment from over that of traditional marketing as it helps expanding sales revenue.
2. E-marketing implies reduced marketing effort cost as the marketing is done through the internet
3. Fast after-effect of the crusade as it focuses on the rightcustomers.
4. Easy checking through the web tracking capacities help make e-marketing exceptionally productive
5. Using e-marketing, viral substance can be made, which helps in viral marketing.

Disadvantages of E-Marketing

Following are some disadvantages of e-Marketing:

1. Dependability on technology
2. Security, security issues
3. Maintenance expenses because of a constantly evolving environment
4. Higher transparency of pricing and expanded price competition
5. Worldwide competition through globalisation

SERVICE MARKETING

Service marketing will be marketing dependent on relationship and value. It might be utilized to market a service or a product. With the expanding prominence of services in the worldwide economy, service marketing has become a subject that needs to be studied independently. Marketing services is not the same as marketing goods due to the exceptional characteristics of services to be specific, impalpability, heterogeneity, perishability and connection. In many nations, services include more economic value than agribusiness, crude materials and manu-facturing consolidated. In created economies, employment

Jobs extend from high-paid professionals and technicians to the lowest pay permitted by law positions. Service organizations can be of any size from immense worldwide enterprises to neighbourhoodsmallbusinesses. Most exercises by the government offices and non-profit organizations includeservices. The American Marketing Association defines services as exercises, advantages, or satisfactions that are offered for sale or provided with sale of goods to the customer, that is, pre-sale and after-sales services. Berry states, 'while a product is an item, devise or physical thing, a service is a deed, performance, or an exertion'.

Features of Services***Intangibility***

A physical product is obvious and concrete. Services are immaterial. The service can't be

contacted or saw, so it is hard for customers to tell ahead of time what they will be getting. For instance, banks promote the sale of charge cards by emphasizing the accommodations and points of interest got from having a Visa.

Inseparability

Individual services can't be isolated from the person. Services are made and consumed all the while. The service is being produced while the customer is getting it; for instance, during an online search or a legitimate consultation. Dental specialist, performers, artists, and so forth make and offer services simultaneously.

Heterogeneity (or variability)

Services include people, and people are on the whole extraordinary. There is a solid probability that a similar enquiry would be addressed somewhat contrastingly by various people (or even by a similar individual at various occasions). It is essential to limit the distinctions in performance (through training, standard setting and quality confirmation). The nature of services offered by firms can never be institutionalized.

Perishability

Services have a high level of perishability. Unused limit can't be put away for sometime later. On the off chance that services are not utilized today, it is lost until the end of time. For instance, save situations in an aeroplane can't be transferred to the following flight. Likewise, empty rooms in five-star inns and credits not used are instances of services prompting economic misfortunes. As services are exercises performed for concurrent consumption, they die except if consumed.

Changing demand

The demand for services has wide changes and might be regular. Demand for the travel industry is regular, different services, for example, demand for public transport, cricket field and fairways have variances in demand.

Pricing of services

Nature of services can't be institutionalized. The pricing of services are usually decided based on demand and competition. For instance, room leases in visitor spots vacillate according to demand and season and many of the service providers emit season limits.

Direct channel

For the most part, services are directly provided to the customer. The customer goes directly to the service provider to get services, for example, bank, lodging, specialist, etc. A more extensive market is come to through diversifying, for example, McDonald's and Monginis.

Problems in Marketing Services

1. A service can't be demonstrated.
2. Sale, production and consumption of services happens all the while.
3. A service can't be put away. It can't be produced fully expecting demand.
4. Services can't be protected through licenses.
5. Services can't be isolated from the service provider.
6. Services are not institutionalized and are inconsistent.
7. Service providers appointing franchisees may confront problems of nature of services.
8. The customer view of service quality is all the more directly connected to the assurance, inspiration and aptitude of the bleeding edge staff of any service organization.

RURAL MARKETING

Ruralmarketing is a process of creating, pricing, promoting, and distributing rural explicit goods and services prompting wanted exchange with ruralcustomers to satisfy their needs and needs, and furthermore to accomplish organizational goals. The rise of ruralmarkets as profoundly untapped potential emphasizes the need to investigate them. Marketers in the course of recent decades, with imaginative approaches, have attempted to comprehend and tap ruralmarkets. A portion of their endeavours paid off and many markets still a puzzler. Ruralmarketing is an evolving concept, and as a piece of any economy, has untapped potential; marketers have understood the open door as of late. Improvement in framework and reach, promise a bright future for those expecting to go rural. Ruralconsumers are enthusiastic about marked goods these days, so the market size for products and services appears to have expanded.

The concept of RuralMarketing in India Economy has constantly assumed a persuasive job in the lives of people. In India, forgetting about a couple metropolitan urban communities, all the districts and industrial townships are associated with ruralmarkets. The ruralmarket in India creates greater revenues in the nation as the rural locales comprise of the most extreme consumers in this nation. The ruralmarket in Indian economy creates practically the greater part of the nation's income. Ruralmarketing in Indian economy can be characterized under two general classes. These are:

- i. The market for consumer goods that comprise of both sturdy and non-strong goods
- ii. The market for farming sources of info that incorporate manures, pesticides, seeds, etc

The concept of ruralmarketing in India is frequently been found to structures equivocalness in the brain of people who think ruralmarketing is about agrarian marketing. Be that as it may, ruralmarketing decides the completing of business exercises getting the progression of goods from urbansectors to the rural districts of the nation just as the marketing of different products manufactured by the non-horticultural labourers from rural to urbanareas. To be exact, ruralmarketing in India Economy covers two wide segments, in particular:

- i. Selling of farming products in the urbanareas
- ii. Selling of manufactured products in the rural districts

The ruralmarket in India is certainly not a different substance in itself and it is exceptionally affected by the sociological and conduct factors working in the nation. The rural populace in India represents around 627 million, which is actually 74.3 percent of the absolute populace. Conceptually, ruralmarketing isn't fundamentally unique to urbanmarketing. Marketing manager needs to play out similar undertakings, however distinctively in ruralmarketing. It tends to be said that marketing isn't unique, yet markets (buyers and users). In ruralmarketing, a firm needs to experience marketing endeavours to satisfy rural segments, which quite vary from urban segments in certain viewpoints. Simultaneously, we should take note of that expanding education rate, improved sources of income, awareness due to improved and expanded methods for correspondence and transportation, high pace of portability inside and between nations because of progression and

globalization, and many other such reasons, some customers are probably going to be indistinguishable. Indeed, a couple rural customers appear cosmopolitan! In this way, one can find customers of various personal conduct standards inside a town or a town. Similarly, a large portion of products are regularly utilized in both urban and rural areas. In certain viewpoints, both rural and urban customers carry on in homogeneous example. Some Indian customers have become worldwide and cosmopolitan!

Definitions

'Rural marketing' is like basically 'marketing' rural marketing contrasts just as far as buyers. Here, target market consists of customers living in rural areas. Accordingly, rural marketing is an application of marketing fundamentals (concepts, principles, processes, speculations, and so on.) to rural markets.

1. Let us define the term in basic manner as: Rural marketing worries with planning and implementing marketing programmes (frequently referred as marketing strategies or just 4P's) for rural markets to accomplish marketing objectives.
2. In progressively explicit words: Rural marketing is a process of creating, pricing, promoting, and distributing rural explicit goods and services prompting wanted exchange with rural customers to satisfy their needs and needs, and furthermore to accomplish organizational goals.
3. Marketing endeavours stay same, just significant angle is type of buyers. Along these lines, the term can be defined as: When marketing exercises are attempted for rural segments, it is turned as rural marketing and the management is called rural marketing management.
4. Since marketing manager needs to complete comparable undertakings. Along these lines, definition of marketing expressed by American Marketing Association can be similarly applicable in connection to rural segments. We will include just explicit word 'rural' to define the term: Rural marketing is a process of planning, and executing the conception, pricing, promotion, and distribution of thoughts, goods, and services to make exchange (for rural segments) that satisfy individual and organizational targets. (Just the word 'rural' has been added to the definition embraced by the AMA.

The word infers that marketing exercises are embraced in rural areas to satisfy rural segments.)

5. More explicitly, it very well may be stated: Rural Marketing intends to produce products (goods and services) for the rural customers and to make important arrangement to supply them.
6. At last, we can say: Rural marketing is the marketing for the customers dwelling in rural areas. It includes planning marketing programme (4P's) to land at wanted exchange with the rural customers that satisfies their needs and needs.

IMPORTANCE OF RURAL MARKETING

Rural marketing suggests applying marketing hypothesis and directing marketing endeavours to make and satisfy needs and needs of rural market (customers). Significance of marketing demonstrates the commitment of rural also urban marketing. Rural market is becoming quicker than urban, rural marketing results into in general adjusted economical and social development. Rural marketing goes gainful to business units, people dwelling in rural areas, people living in urban areas, and to the whole country. We should perceive how development and development of rural marketing add to generally speaking prosperity and welfare.

Reduced Burden on Urban Population

Rural marketing can add to rural foundation and prosperity. People can likewise live easily in towns because of accessibility of all goods and services in towns, even comparatively at low price. People, because of development of marketing exercises, can earn their job in rural places. Populace pressure on urban can be reduced.

Rapid Economic Growth

Normally, marketing goes about as impetus operator for economic development. There exists more attractive business openings in rural than urban. Rural market is more potential for consumer durables and services. Rural populace largely relies upon farming and it can contribute almost half to add up to national income. Agribusiness appreciates critical part in send out business, as well. Rural marketing improves rural sector and improved horticultural

sector can support entire economy of the nation.

Employment Generation

At present almost 70% of absolute Indian populace benefits from agrarian exercises in rural areas. Rural marketing can create increasingly attractive employment chances to rural and urban people. Development of rural marketing prompts expanded business tasks, professional exercises, and services that can produce a great deal of employment openings.

Improved Living Standard

Due to rural marketing framework, rural buyers can without much of a stretch access needed standard goods and services at reasonable prices. Similarly, rural marketing improves rural framework. Moreover, rural marketing can likewise improve their income. These all angles can directly improve expectation for everyday comforts.

Development of Agro-based Industries

Rural marketing prompts set up agro-based processing industries. Natural products, vegetables, oats, beats, and so on., are utilized as crude materials. Such industries can improve ranchers' profit edge and employment openings.

Optimum Utilization of Rural Untapped Resources

There are boundless businesses openings exist in rural areas. Untapped and underutilized resources can be used at ideal level and that can additionally quicken generally speaking economic development.

Easy Marketability of Agricultural Produces

Development of rural marketing improves entire marketing framework. Numerous alternatives are accessible to ranchers and neighbourhood producers to market their products. Huge local corporate houses and global companies want to buy rural products directly from towns by their very own or through specialists and small firms. Rural producers can sell their produces effectively at satisfactory prices. Their improved income level can improve their acquiring power that can additionally fuel to industrial demand.

Improved Rural Infrastructures

Rural marketing and fundamental frameworks go hand to hand. Development of

ruralmarketing prompts improved transportation, protection, banking, correspondence, entertainment, and different offices. Because of accessibility of fundamental infrastructural offices, business units can without much of a stretch arrive at the objective ruralbuyers.

Price Stability

Marketing results into better transportation, warehouses, and correspondence offices. Rural products can be deliberately marketed consistently. Immense hole among demand and supply can be kept away from and, subsequently, prices of the majority of products stay pretty much steady.

Quality of Life and Reduced Crime

Marketing can refine whole living style and framework. Better quality products at sensible price, improved income level, accessibility of offices, and so forth., have direct positive effects on personal satisfaction. Personal satisfaction improves and level wrongdoing reduces.

Balanced Industrial Growth

The hole among rural and urban development can be reduced bit by bit. Rural development improves rural life and reduces pressure on urban life.

Others

Aside from these focuses, there are various ways that ruralmarketing can fundamentally add to economic and social development.

Some points have been listed below:

- i. Creating confident towns
- ii. Increased proficiency rate and by and large development
- iii. Attracting goliath business bunches in rural places
- iv. Rigorous research and development in agrarian sector
- v. Growth of scholarly and training organizations in ruralareas
- vi. Increased portrayal of rural populace, and expanded political impact, and so on.

FEATURES OF RURAL MARKETING

The primary motivation behind why the companies are focusing on rural market and creating effective strategies is to tap the market potential that can be recognized as pursues:

Large and scattered population

As per the 2001 registration, 740 million Indians shaping 70 percent of India's populace live in rural areas. The pace of increment in rural populace is likewise more noteworthy than that of urban populace. The rural populace is dissipated in more than 6 lakhs towns. The rural populace is exceptionally dispersed, yet holds a major promise for the marketers.

Higher purchasing capacity

Buying intensity of the rural people is on rise. Marketers have realized the potential of rural markets and along these lines are growing their tasks in rural India. As of late, rural markets have obtained centrality in nations like China and India, as the general development of the economy has come about into generous increment in buying intensity of rural networks.

Market growth

The rural market is becoming relentlessly throughout the years. Demand for traditional products, for example, bikes, mopeds and agrarian information sources; marked products, for example, toothpaste, tea, cleansers and different FMCGs; and consumer durables, for example, coolers, TV and clothes washers have additionally become throughout the years.

Development of infrastructure

There is development of framework offices, for example, construction of streets and transportation, correspondence network, rural jolt and public service projects in rural India, which has expanded the extent of rural marketing.

Low standard of living

The way of life of rural areas is low and rural consumers have various socio-economic backwardness. This is diverse in various pieces of the nation. A consumer in a town area has a low expectation for everyday life as a result of low proficiency, low per capita income, social backwardness and low reserve funds.

Traditional outlook

The rural consumer values old customs and traditions. They don't favour changes. Bit by bit, the rural populace is changing its demand example, and there is demand for marked products in towns.

Marketing mix

The urban products can't be dumped on rural populace; separate arrangements of products are intended for rural consumers to suit the rural demands. The marketing blend elements are to be balanced by the requirements of the rural consumers.

Suggestions for Improvement of Rural Marketing

1. The rural people ought to be created in all angles strategies must be planned by the central government, particular state governments, neighbourhood bodies and NGOs for the upliftment of the equivalent.
2. Adequate infrastructural offices like streets, spans, ware houses, marketing yards, information focuses and so forth., must be provided by in relationship with public and private association.
3. Communication networks like postal, broadcast, telecommunication, TV, film, and so on., need to be fortified in the rural India. It very well may be finished with the assistance of the technology and customized services intended to satisfied the correspondence requirements of rural masses
4. Banking and financial framework need to be overhauled and reinforced according to the requirements of the rural social orders. Private banking framework, co-usable credit social orders and other financial foundations ought to stretch out their tasks to the rural areas and should provide all conceivable services
5. A program ought to be started to interface all rural areas with the parkways, urban and semi urban focuses all through the nation. A wide understanding must be created on social examples, climatic and land conditions example of living traditions, customs, values, and convictions of the peoples with the assistance of research focuses in that individual areas.
6. Training Programs must be intended to confer the information in professional and

non-agrarian sectors to the rural people with the goal that the reliance on agribusiness can be reduced and the rural innovative movement and industries can be reinforced. This measure will definitely expand the normal and per capita income of the rural house holds

7. Both central and state governments ought to provide a stage through which rural business people can consolidate in an offered area to come back the problems of low production this would incorporate institutionalizing their products, normal marketing and sharing of revenues in proportion to the commitment by every part.
8. Interventions by government organizations are needed to do the market research and disperse the findings to the rural marketers at a soonest so they can be profited with the competitive favourable position. Further exact market planning structure the principle fixing in an effective marketing plan. Henceforth marketing planning must be done on logical and factual premise
9. Rural business visionaries ought to be trained in the areas and use of computer and information technology. Customer information base must be kept up to assemble sound business relations with the assistance of electronic and social media.
10. Local business customers, markets, customers and consumers must be recognized. This will reduce the expense of coordination, transportation and price of the products.

MARKET PLANNING/MARKETING PLANNING

A business firm needs to make different marketing decisions. These decisions really rise up out of the complex connection of a large number of people completing various duties in the marketing organisation. Being an integral part of the general management, the marketing administrators are profoundly associated with the process of planning. Marketing planning defines the job and obligations of marketing officials so as to accomplish the objectives of the firm. It lays emphasis on the assignment of marketing resources in the best and most economical way. It gives an insightful direction of marketing activities. Marketing planning includes the readiness of policies, programmes, spending plans and so on., ahead of time for doing the different exercises and functions of marketing to accomplish the marketing

objectives.

As indicated by American Marketing Association, "marketing planning is crafted by setting up goals for marketing action and of deciding and scheduling the means important to accomplish such targets." Planning is the first management function to be acted in the process of management. It administers endurance, development and prosperity of any venture in a competitive and consistently evolving environment.

The interfacing connection of markets to marketing is the process and the function of marketing management. Marketing management is the mixing factor of markets and marketing. Today the consumer is a complicated, enthusiastic and confounded person. His buying depends on subjectivity and not frequently supported by objectivity. The presentation of incalculable brands of can cleansers, baby powders is models. Planning goes before action in any deliberate undertaking. Business firms normally attempt a good arrangement of planning. Business firms need to ace the environment and score over their competitors. Consequently on account of a business firm, planning is consistently strategic in character. A firm can't bear to travel in an indiscriminate manner it needs to travel with the help of a course map. Each company must look forward and figure out where it needs to go and how to arrive. Its future ought not to be left to risk. To meet this need, companies utilize two frameworks a strategic planning framework and marketing planning framework. Strategic planning provides the course map for the firm. Strategic planning serves as the support against risk and vulnerability.

Strategic planning is a flood of decisions and activities which lead to effective strategies and which thus help the firm to accomplish its targets. Strategy isn't something that can be removed from one's pocket and pushed into the market out of the blue. "No enchantment equation exists to get ready for what's to come. The requirements are magnificent knowledge to comprehend changing consumer needs, clear planning to focus our endeavours on meeting those needs, and adaptability, since change is the main constant. Generally significant, we should constantly offer consumers-products of value and value, for this is the one need that won't change." Marketing has been portrayed as the railroad motor which pulls the various departmental carriages along. Marketing planning is the interface between the endeavour and

its market. We had clarified that marketing places the consumer at both the start and the finish of the business process.

Any firm working on marketing in the proper sense needs to distinguish accurately the needs of the consumer, translate the needs into reasonable products and services, convey those products and services to the absolute satisfaction of the consumer and through the process produce profits for the firm.

Importance of Marketing Planning

Marketing planning is an orderly and restrained exercise to define marketing strategies. Marketing planning can be identified with the organisation in general or to strategic business units (SBU). Marketing planning is a forward looking activity, which decides the future strategies of an organisation with extraordinary reference to its product development, market development, channel structure, sales promotion and profitability. We may now synopses the significance of marketing planning in the accompanying focuses:

1. It aides in dodging future vulnerabilities.
2. It aides in management by targets.
3. It aides in accomplishing goals.
4. It aides in coordination and correspondence among the departments.
5. It aides in charge.
6. It helps the customers in getting full satisfaction.

Benefits of Marketing Planning

1. Marketing planning promotes effective marketing activities.
2. Planning serves to co-ordinate exercises which can encourage the attainment of targets after some time.
3. It powers management to ponder the future in a deliberate manner.
4. Resources can be better adjusted in connection to distinguished market openings. A plan provides an edge work for a proceeding with audit of activities. It will make the firm to give more thoughtfulness regarding market enlargement instead of market upkeep.
5. Marketing planning serves to appraise performance, gain by quality, limit

shortcomings and dangers and finally open up new chances.

6. Planning can be upheld to limit the risk of disappointment.
7. Marketing planning reduces the antagonistic consequences of horrible conditions past the impact of management.
8. A marketing plan promotes a comprehensive perspective on the business firm and goes about as a process of correspondence and co-appointment between marketing department and different departments.
9. A more prominent readiness to suit change can be animated.

Marketing Strategy = the marketing rationale by which the business unit wants to accomplish its marketing goals.

Characteristics of Marketing Planning

Marketing planning has the following characteristic features:

1. The achievement depends to a large degree upon human conduct and reaction.
2. They are complicated in nature.
3. Marketing decisions have long haul effects on effectiveness, profitability and market remaining of the firm.
4. Marketing planning is a formal and orderly approach towards planning of all marketing exercises product situating, price setting and distribution channels and so on.
5. Marketing planning, as a balanced action, requires thinking; creative mind and premonition. Market analysis, market projection, consumer conduct analysis and marketing-guided ends depend on information and measurements drawn from inward and outer environments.
6. Marketing planning is a forward-looking and dynamic process intended to promote market-arranged or consumer-situated business activities.
7. Planning is worried about two things:
 - a. Avoiding inaccurate activities and
 - b. Reducing recurrence of inability to misuse openings.
8. In this way, marketing planning has both an idealistic and a cynical component.

9. Marketing planning is finished by the marketing department. Different sub-divisions and segments under the department give their proposals dependent on which the general company marketing plans are created and structured.
10. Planning is a process of choosing ahead of time what to do and how to do it. On the off chance that the marketing planer wants to accomplish an objective market at some future date and in the event that he needs some an opportunity to choose what to do and how to do it, he should make the essential marketing decisions before making a move.
11. Planning is essentially a decision-production process. Marketing planning is a programme of marketing-based activities in regards to the future with the object of limiting risk and vulnerability and producing a lot of interrelated decisions.

Types of Marketing Plans

Marketing plan is one of the goodmany plans that management is to create on the grounds that, the significant segments of business organisation are manufacturing, finance, staff notwithstanding marketing. Change at all levels makes the organizations take part in marketing planning. As noted before, a marketing plan is a composed document indicating association's marketing destinations in detail and how the marketing management is going to utilize the controllable marketing apparatuses to accomplish these expressed goals.

A plan, marketing, is a piece of by and large company plan intended to drive the company to get ready for the future which is unsure. A given marketing plan might be founded on company structure or the time-length. Henceforth, one can consider two potential bases, for such marketing plans:

Structural plans

A structure based marketing plan is one in which the organisational structure of company's marketing department serves as the premise. Consequently, the plan will be founded on marketing functions where separate plans are intended for each function of management in marketing area and are incorporated into a well-sew marketing plan. There can be discrete plans for product gatherings, market segments and customer bunches finally synchronized into a solitary departmental marketing plan in this manner going as long as five

years or even

1. New product planning
2. Cultivation of new market-entry into new markets
3. Vertical marketing systems
4. Developing new trade channels-changing consumer attitudes and so on.

In the event that short-go plans manage routine type of problems, the long-run plans manage the particular problems. Anything that arrangement is taken, the outcomes are the equivalent.

MARKETING STRATEGIES

Marketing strategy is the aggregate and incredible instrument or a plan formed and structured explicitly for achieving the marketing goals of a firm. Marketing crucial targets let us know regarding where we need to go and marketing strategy provides us with the amazing plan for connecting there. The expressions of Prof. Jerome McCarthy "strategy is the immensely significant piece of marketing. The one time planning decision the most urgent decision that figures out what business the company is in and the general strategy, it will pursue might be a higher priority than has at any point been figured it out"

In the expressions of Mr. Robertson and Yoram Wind, "there are three nonexclusive strategies for making progress in the competitive market place. The first of these is to deal with the inventory or distribution, the second competitive cost advantage and the third product separation; marketing as an order is basic component of all these three strategies. Marketing plays out a limit job function in the association's determination of an appropriate strategy; marketing saves the customer interface and provides the assessment of needs which should at last guide all strategy development".

To very Michael E. Watchman "marketing strategy has principally one mean to adapt up to competition; these are five significant and crucial powers that choose the nature and force of competition the danger of new entrants, dealing intensity of customers, bartering intensity of providers, risk of substitute products and manoeuvring among the current challenge expressions; the aggregate quality of these powers decide a definitive profit potential, of an

industry; the strategists objective is to find a situation in the industry where his company can best defined itself against these powers or can impact them in support of him; strategy can be seen as building safeguards against competitive powers.

In the final analysis marketing strategy represents competitive marketing activities that are bound to evoke a reaction from competition. That is the reason a fruitful marketer needs to have a comprehensive strategy to handle competition at any expense. Notwithstanding, one can't go to the degree of "any cost" except if one works as indicated by a plan and that is competitive strategy for pounding accomplishment in marketing. It is at the same time, thusly, regular that competitive strategy must be one that will evoke the much looked for after competitive bit of leeway. Having given the competitive bit of leeway, the said strategy should give a practical competitive edge. It warrants the exhaustive examination and analyses of competition before one would like to have a competitive preferred position. Along these lines competitive examination, filtering and analysis consist of two things in particular, the "long haul profit-opportunity" and claims one's competitive position. The methods for out beating competition are:

Reducing competition

Maybe this is the least difficult method for battling out. It sounds well in principle; anyway by and by it implies procurement of smaller or flimsier units which are in competition. Along these lines, Hindustan Lever gained TOMACO and Broke Bond securing Kissan and Lipton.

Joining competition

This is another exit plan to moderate competition which is making strides. The best model is that of joint endeavour of Procter and Gamble and Godrej Soaps.

Pre-empting competition

This is another way which is a proactive approach, which is effective especially when it is upheld by competitive analysis. The case of pre-empting competition is that of.

To create barriers

This infers disallowing others from section in the line dependent on exceptionally solid financial and muscle power. Goodmany companies spend vigorously accepting others to

simply consider such extravagance an extravagance or a fantasy for them. The case of this sort is that of.

To differentiated the products

It pays to separate the products. One must not stop for a second to contrast his own product with another to provide better value for the money paid by the customers. It isn't just perfect yet handy. That is larger part of the companies to do it. The models are good many yet we can take toiletries of all companies.

To improve the speed of response

The competitive edge can be additionally honed than one might suspect. There are sure manufactured products where speed of reaction just as brisk source is of top importance. In spite of the fact that the companies are aware of keeping pace with changing technological tempo they ought to be well in front of the equivalent. Quality in consonance with technology has a lot of substantial reaction on the off chance that it gets the necessary speed.

To divest from regular activities

Rather than moving in the equivalent develop it should increasingly out of it. The firm ought to strip out of focus exercises. This makes accessible much needed rare break in the focused exercises.

To improve efficiency

It is nevertheless regular that there is close coalition between significant effectiveness and the competitive edge. This encourages the marketer to distinguish his products however reduced cycle of line and reduced costs. To rehash, a competitive marketing strategy ought to be with the end goal that will give manageable competitive bit of leeway. One must be along these lines proactive and brisk in one's reactions and one ought to be happy to put resources into long haul profits.

NATURE OF MARKETING STRATEGIES

The precise idea of strategy is undeniable from the definitions we have experienced. The nature is plainly spoken by the accompanying focuses:

They are dynamic

The concept of marketing strategy is relative as it is intended to meet the changing demands of a circumstance. Every circumstance and occasion needs an alternate strategy that is the reason strategies are reconsidered and recast as often as possible to adapt up to the adjustments in a given circumstance or occasion.

They are futuristic

A marketing strategy is forward looking. It situates towards future. A marketing strategy is intended to draw out the organisation from a discard of degression to the way of progress for better change in the coming occasions.

They are complex

A marketing strategy is a very complex plan appropriating in its compound different plans or firms of plans which area must to accomplish the organizational objectives. It is a compendium or complex of plans inside plan to out beat the quality and essentialness of others in the line are associated exercises.

They provide direction

Marketing strategies provide a set direction wherein human and physical resources will be apportioned and conveyed for accomplishing organisational objectives despite change environmental weight, stress and strains and constraints and restraints.

They are all covering

Marketing strategies include the right blend of factors administering the best outcomes. In factstrategic planning warrants not just the segregation of different elements of a given circumstance yet a prudent and basic assessment of their relative significance.

They are a link between the unit and environment

The strategic decisions that are fundamentally related with likely patterns in the changing marketing changes in govt., policies, technological developments, ecological change over's, social and social hints. At that point, the consistently changing environment which is outer to the organisation has sway on it since unit is the sub-frameworks of supra-framework specifically environment.

They are interpretative

Marketing strategies are the interpretative plans figured to decipher and offer importance

to different plans in the spot-light of a particular circumstance or circumstances. They demand an adjustment of plans in anticipator of the responses of the individuals who will be affected. Strategic decisions are the consequence of a complex and multifaceted process of decision making.

They are top management blue-print

Marketing strategies their plan is the essential duty of top management. It is on the grounds that, it is top management that explains the missions, targets and objectives and the policies and strategies are the approaches to contact them. In this manner, top management isn't just to say to where to go yet how best to go the terminal point.

ESSENTIALS OF MARKETING STRATEGIES

Any marketing strategy to merit calling as fruitful or effective must appreciate certain extras which can be called as basics or necessities of it. The essential rules, used to call a strategy an effective one utilized by specialists are:

It is consistent

A marketing strategy to be effective is to be consistent with the in general and explicit targets and policies and other, strategies and strategies of the marketing organisation. Interim consistency is a fundamental element of a good strategy as it distinguishes the areas where the strategic decisions are to be made inescapably or over the long haul.

It is workable

Any strategy anyway praiseworthy and hypothetically solid is useless except if it can meet the regularly changing need of a circumstance. In this business world possibility is very normal and the strategy that strikes at the head to add to the progresses and prosperity of marketing organisation.

It is suitable

A strategy is developing of circumstances or environment. It is the subservient of changing environment of business world. It is nevertheless characteristic that any strategy not fitting to the environment can appropriate the marketing organisation in the compounds of peril, diverge and frustration.

It is not risky

Any strategy includes risks as vulnerability is sure; what is significant is that the degree of the risk included or connected with strategy is sensibly low as compared to its pay-off or returns. It is on the grounds that; a high risk very strategy may compromise the endurance of the marketing organisation, not to mention its prosperity, if computations go fit.

It is resource based

A sound strategy is one which is structured out of sight of the accessible resources at its command. A strategy includes certain measure of risk which can barely be isolated. A strategic decision warrants commitment of right measure of resources to the chance and reservation of adequate resources for an envisioned or "go through" mistakes in such demands of resources.

It has a time horizon

The statement "a join in time spares nine" that relevantly applies to the concept of strategy. A sound strategy is will undoubtedly be utilized at the scratch of great importance and tick of the chance. It has an appropriate time skyline. This time this is costlier than money and its viewpoint counts on the objectives to be accomplished. The time ought to be sufficiently long to allow the organisation to make adjustments and keep up the consistency of a strategy.

UNIT – III

MARKETING MIX

MARKETING MIX

Marketing mix is the policy received by the manufacturers to get accomplishment in the field of marketing. Those days, when goods were coordinated with the market, have gone. The modern market concept emphasizes the significance of the consumer's inclination. Manufacturers take different policies to get accomplishment in the market and the marketing mix is one of the significant policies. In marketing planning, we utilize marketing information to survey the circumstances. In this manner, a manufacturer first analyses the idea of the consumer's needs and afterward plans his product to offer satisfaction to the consumers. All the marketing exertion focuses consideration around the consumer's need. The management along these lines is worried about the markets and market practices to distinguish the objective gatherings of consumers through market information. At that point the management plans to meet the consumer's needs and to confront the competitors. All these programmes include various functions, which are to be planned cautiously; and planning's need analysis of the market to take a decision-expectation and anticipating, to the future needs of the public. Marketing departments play out the tasks and the marketing mix is the outcome. In this way, the mix of demand and supply includes different functions of marketing to accomplish achievement in the market and the mix of these functions is known as marketing mix.

DEFINITION OF MARKETING MIX

As indicated by Borden, "The marketing mix refers to the appointment of endeavours, the blend, the structuring and the combination of the elements of marketing into a programme or mix which, based on an appraisal of the market powers will best accomplish an undertaking at a given time". As indicated by Stanton, "Marketing mix is the term used to depict the mix of the four information sources which constitute the center of a company's marketing framework the product, the price structure, the promotional exercises and the distribution

framework." Thus marketing mix is the mix of the product, the distribution framework, the price structure and the promotional exercises. The term marketing mix is utilized to depict a blend of four elements-the product, price, physical distribution and promotion. These are famously known as "Four Ps."

These four elements or sub-mixes ought to be taken as instruments, by the management, while detailing marketing plans. All things considered, marketing manager ought to have an exhaustive information about the four Ps. The marketing mix should be changed at the difference in marketing conditions like economical, political, social and so on. Marketing mix is created to satisfy the foreseen needs of the distinguished markets.

IMPORTANT ELEMENTS/SCOPE OF MARKETING MIX

Probably the most significant elements of marketing mix are as per the following: 1. Product 2. Price 3. Promotion 4. Place 5. Process 6. People 7. Physical evidence.

Product

Product refers to a physical product or a service or a thought which a consumer needs and for which they are prepared to pay. Physical products incorporate substantial goods, for example, staple items and garments. Services are immaterial products which are offered and bought by consumers. In a tight sense, a product is a substantial good, for example, a book, a soda and a vehicle, which a seller sells and a buyer buys. In fact, people don't buy products that are essentially unmistakable or touchable. People buy answers for their problems. They buy advantages, satisfactions and fulfilment of their needs.

A product is a lot of unmistakable and impalpable credits that lead to customer satisfaction. A product incorporates both unmistakable goods and immaterial services. Notwithstanding, it is to be noticed that a product might be simply elusive or absolutely unmistakable. For example, an individual who buys mental counselling gets nothing substantial. This product is an absolutely elusive service. At the other extraordinary, an individual who buys a parcel of paper cuts gets nothing elusive. This product is an absolutely substantial good. Be that as it may, an individual who buys a lunch at a café gets a mix of impalpable service and substantial goods. The majority of the products have a blend of

substantial and immaterial characteristics.

At the point when a substantial good alone can't satisfy the customer's need, the marketer must upgrade its value by providing the additional elusive services. Products that are marketed incorporate physical goods, services, encounters, occasions, people, places, properties, organization's information and thoughts. In this manner, product is a general term for thoughts, goods and services. As indicated by Philip Kotler, 'a product is whatever can be offered to a market to satisfy a need or need'. Product is the key element of any marketing mix. The decisions concerning product may identify with the accompanying:

1. Product attributes
2. Branding
3. Packaging and labelling
4. Product support service
5. Product mix

Price

Price is an element of marketing mix. It is the exchange value. Building up a right pricing strategy is basic to an organization's prosperity. Price is an essentialness variable. In many cases, it is the principle factor influencing consumer decision. Its centrality is further emphasized as it is the main element of marketing mix that produces revenues and the other product costs. In this manner, price is the sum charged for a product or service. It is the consideration paid by consumers to support utilizing any product or service. Price obsession is a significant part of marketing. Pricing decisions of a company are influenced by both inner and outer factors.

Promotion

Promotion is one of the four elements of marketing mix. It is correspondences connect between the seller and the buyer to impact, informing or convincing a potential buyer's acquiring decisions. Promotion has been defined as the coordination of all seller-started endeavours to set up channels of information and influence so as to sell goods and services or promote a thought. While certain correspondence happens through the different elements of the marketing mix, the vast majority of the organization's interchanges with the marketplace

occur as a piece of a cautiously planned and controlled promotional programme.

As per William Stanton, promotion is defined as 'the element in an organization's marketing mix that is utilized to inform, convince and remind the market with respect to the organization and additionally its products'. Promotion convinces consumers as well as gives a proper legitimization of the price charged and the profits got by them. Manufacturers have not exclusively to convey yet in addition to take a shot at the things, for example, how to impart when to impart and through which medium to convey. In this day and age of technology, different promotional devices are accessible to the firm which incorporates publicizing, individual selling, sales promotion, direct marketing and public relations. Each instrument has its own favourable circumstances just as detriments. The achievement of promotional battle relies upon the selection of right mix of promotional mix.

Place

Spot is another significant element of marketing mix. Once the goods are manufactured, bundled, priced, and promoted, they should be made accessible to consumers. Exercises identified with putting the products are secured under this element of marketing mix. It consists of decisions identifying with channels of distribution and physical distribution. Channels of distribution allude to the people and organizations which encourages in moving the goods from manufactures to consumers. It is significant that standard and smooth progression of goods is kept up so that products are not spoilt and supplies are not postponed. To guarantee this, different encouraging services, for example, transportation, warehousing, stock control and request processing need to be orchestrated. These are known as components of physical distribution.

Process

Process is a series of activities important to provide products or services with the best service to consumers. A process can contain methods or procedures applied to get the products needed by consumers. A service process must be quick, simple and inviting to give more value to consumers of a product.

People

People are every one of the people associated with the exercises of producing products

and providing services and products to consumers. People who produce and market a product additionally have a rating according to consumers.

Physical Evidence

Physical evidence is a gadget needed to help the appearance of a product, subsequently directly indicating the nature of products and services provided to consumers.

PRODUCT LIFE CYCLE

Product life cycle is the recorded study of (sales of) the product. It incorporates when it was presented; when it was getting quick acknowledgment; when it was on the pinnacle of its position; when it began tumbling from the pinnacle; and when it disappeared. Product goes through specific stages during its life expectancy. In fact, no product is able to satisfy needs and needs of consumers for a boundless timeframe. Accordingly, its sales and profits are liable to vary after some time. The life of product can be dictated by its ability to meet market desires. It keeps going or exists as long as it satisfies its users.

The concept that studies the life expectancy of product in connection to the demand is prominently known as product life cycle. We use 'PLC' as a condensing of Product Life Cycle. The concept PLC is significant in marketing hypothesis and practice. It is intriguing to take note of that we can study the PLC just when product completes its whole life. Most likely, we can identify specific stage product life cycle based on sales and profits. Product life cycle ought to be studied regarding the expansive picture of demand-technology life cycle. It provides understanding into the competitive elements. It is an instant or master solution with respect to what a marketing manager ought to do in various phases of the PLC. Be that as it may, the concept might be deluding on the off chance that it isn't painstakingly comprehended and pursued. How about we look at some definitions:

Definitions

The term 'product life cycle can be defined as under:

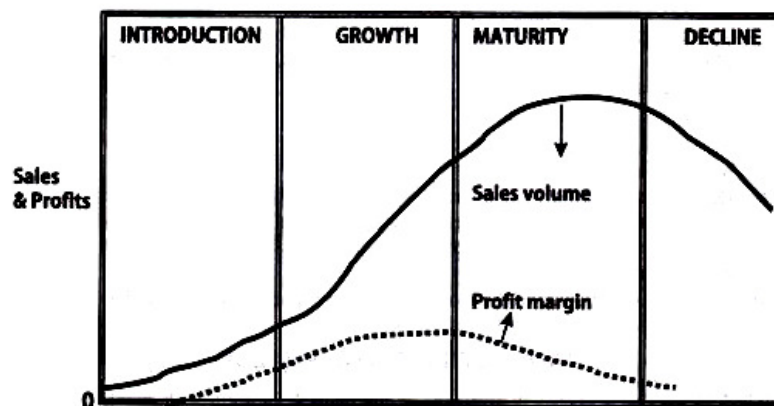
1. Philip Kotler: "The product life cycle is an attempt to recognize distinct arranges in sales history of the product."
2. We can define PLC as: PLC worries with the study of the level of product

acknowledgment by the market after some time. It incorporates significant ascents and falls of sales during its life.

3. Product life cycle states connection between sales volume and profits. In this way, we can define the term as: Product life cycle worries with the study of connection between sales volume and profits in connection to time through whole range of the product's life.
4. More plainly and comprehensively, we can define it as: Product life cycle is the verifiable study of (sales of) the product. It incorporates when it was presented; when it was getting fast acknowledgment; when it was on the pinnacle of its position; when it began tumbling from the pinnacle; and when it disappeared. Product goes through specific stages during its life expectancy.

Typically, it passes through four stages as listed below:

1. Introduction: The product is presented in the market.
2. Growth: The product is getting quick acknowledgment and sales ascend at the expanding rate.
3. Maturity (counting Saturation): Sales rise, yet at the diminishing rate. Saturation is set apart with stable sales.
4. Decline:



Stages of Product Life Cycle and Time
Figure 2: Product Life Cycle

It is the phase when sales start falling. Figure shows that product life cycle has "S" shape bend. It demonstrates a perfect state.

Assumptions

"S" shape fix is a perfect state, and is not really conceivable. Such graph – stages, sales bend, and profit bend is conceivable just if following assumptions are satisfied:

1. Product completes its whole life cycle. It goes through every one of the four phases of its life.
2. Duration of every one of the stages is equivalent or fixed.
3. There is no reintroduction of product.
4. Product goes through stages in sequential request that is, one, two, three and in like manner. There is no bypassing or overlapping of any of the stages.

Stages of Product Life Cycle

Product life cycle comprises of four stages/stages. Each phase of product life cycle can be characterized regarding in any event four viewpoints – sales volume, measure of profits, level of promotional endeavours and costs, and level of competition. Each stage demands the one of a kind marketing strategy. Let us quickly depict every one of the phases of the PLC.

Introduction Stage

Introduction stage begins when another product is, for the absolute first time, made accessible for procurement. Consumers are not aware of product, or they might not have general conclusion and experience with respect to product. Also, another product needs to confront the current products. Along these lines, the sales stay constrained. In the underlying stage, there is misfortune or unimportant profit. During this period, the direct competition is practically missing. Company has not acedproduction and selling problems. Price is typically high to recover/balance expenses of development, production, and marketing with least sales. Along these lines, sales ascend at progressively.

Characteristics of introduction stage include:

- Huge selling and promotional costs are required to build awareness of customers.

- Price is kept high to recover high development, production, and marketing costs.
- Marketer needs to handle technical and production problems.
- Sale is low and expanding at a lower rate.
- There is misfortune or insignificant profit.
- There is no competition

Growth Stage

This is the phase of a quick market acknowledgment. Because of expanded awareness, the product gets positive rest from market. This stage is set apart by a quick move in sales. Sales ascend at the expanding rate. Profits pursue the sales. Seller shifts his promotional attempts from "attempt my-image" to "buy-my-image." Company attempts to create effective distribution network. Here, the a large portion of production and marketing problems are averted. Because of ascend in profits, competitors are attracted. At a right time, price might be reduced to attract the price-touchy buyers. Company proceeds, even expands, its selling and promotional endeavours to educate and persuade the market and meet competition. Toward the finish of development arrange, sales start expanding at decelerated rate, consequently, profits begins to decrease.

Characteristics of growth stage include:

- Sales increment quickly (or at expanding rate) because of consumer acknowledgment of the products.
- Company can earn greatest profits.
- Competitors enter the market because of attractive profits.
- Price is reduced to attract more consumers.
- Distribution network is broadened and improved.
- Necessary primary changes are made in product to expel absconds.

Maturity Stage

This stage is set apart with delayed down of sales development. Sales keep on rising yet at diminishing rate. Competitors have entered the market and existing products face extreme competition. Sales bend is pushed descending. It is much the same as a converse "U." During this stage, for certain timeframe, sales stay stable. This level is known as the Saturation.

Profits additionally decay. Ordinarily, this stage keeps going longer and marketers face considerable difficulties. The stages might be partitioned into three stages:

- Growth Maturity: Sales-development rate begins to decay.
- Stable Maturity: Sales stay stable (i.e., saturation arrange).
- Decline Maturity: Sales now begin to decay.

Marginal producers are compelled to drop out the products. The individuals who work define different strategies to expand the stage. Market, products, and marketing programme are to be adjusted to continue the stage. Characteristics of development organize include:

- Sales increment at diminishing rate.
- Profits begin to decrease.
- Marginal competitors leave the market. Customer maintenance is given more emphasis.
- Product, market, and marketing mix changes are embraced.

Decline Stage

This is the last phase of product life cycle. Here, sales detail declining quickly. Profits likewise start eradicating. There is a base profit or even a little misfortune. Promoting and selling costs are reduced to understand some profits. This stage is looked by just the individuals who made due in development arrange. Most products outdated as new products enter the market. All products need to confront the stage prior or later. New products start their own life cycle and supplant old ones. Various competitors pull back from the market. The individuals who stay in the market like to drop smaller segments, roll out minor improvements in products, and keep selling the products in profitable segments and channels.

Here, rationale has its very own job. Management proceeds with the equivalent product with desire that sales improve when economy improves; marketing strategy is changed expecting that competitors will leave the market; or product is improved to attract new market segments. Be that as it may, except if a solid explanation exists, it is exorbitant and risky to proceed with the equivalent products. Later on it is troublesome of manage selling and promotional endeavours. Marketer must check each plausibility before dropping the product completely. Characteristics of decrease organize include:

- i. Sales fall quickly.
- ii. Profits fall more quickly than sales.
- iii. Product adjustment is embraced.
- iv. Gradually, the company likes to move resources to new products.
- v. Most of sellers pull back from the market.
- vi. Promotional costs are reduced to understand a little profit.

PRODUCT SIMPLIFICATION

In specific conditions, the management needs to drop the production of unprofitable products. A firm may either take out a whole line or rearrange the assortment inside a line; this is named as contraction of product mix. This is likewise named as disentanglement. The process of maintaining a strategic distance from or halting the production of a specific product is called rearrangements. Rearrangements might be defined as erasing or killing those product items, which are unsatisfactory or pointless, from the product line. It is inverse to product expansion. It is additionally named as pruning, erasure, end, contraction, dropping or abandonment.

The concept of rearrangements is firmly identified with institutionalization. Disentanglement is the process of reducing the assortment of products manufactured. Disentanglement is worried about the reduction of product go, gatherings, parts, materials and plan.

Advantages of Simplification

Following are the advantages of simplification:

1. Simplification includes less, parts, assortments and changes in products; this reduces manufacturing activities and risk of oldness.
2. Simplification reduces assortment; volume of remaining products might be expanded.
3. Simplification provides brisk conveyance and better after-sales services.
4. Simplification reduces stock and along these lines brings about better stock control.
5. Simplification brings down the production costs.
6. Simplification reduces price of a product.

7. Simplification improves product quality.

Product rearrangements is the control of blending the best performance functionality into the least number of parts utilizing the most reasonable and cost-effective materials and manufacturing processes. It is a building pre-packaged game, as it were, addressing inquiries concerning a plan and seeing a Design for Manufacture and Assembly (DFMA) database react with quantitative expenses and reports. There is truth and riddle in going up against an analysis that says there are too many parts, shows the group where, and afterward dispatches everybody into the closeness of experimentation designing, joint effort, and new creation. It's a game that companies would in a perfect world play routinely however will in general do most energetically when development and proficiency are both in emergency. Cross-functional product development groups have found and rediscovered the phenomenon of product improvement in meeting entryway kick the bucket cost focuses for their companies. En route, manufacturers learned that it is through the thorough mix of plan and process development that market attractive quality and designing class are accomplished pair.

Yesterday's inventive structure thoughts and process decisions are the present competitive gauges. Snap fits and living pivot techniques became extraordinary strategies for advancement by Dell, HP, and Motorola. Past plastics, engineers made other brave moves from the DFMA game board. Medicinal companies inserted power through pressure and printed circuits into auxiliary backings to dodge singular part costs, potential part disappointments, and included get together work. Dell and HP proceeded with their structure attack on superfluous links, tackles, and separate electronic components, assembling new functionality onto circuit sheets. Product disentanglement was helped, obviously, by imaginative stockpile chains. Finally observing a chance to progress new technology, providers told their OEM accomplices the best way to utilize process leaps forward to put answers on an occasionally clear work sheet. An originator's propensity, for instance, of making formed ribs for absolutely visual evenness can add 30-40% to the manufacturing cost of a component. The mastery of the two gatherings working in transparent coordinated effort with an expense analysis apparatus has opened huge investment funds.

There are different impetuses for advancement too. Motorola University in Asia shows

the incorporation of lean, Six Sigma, and DFMA to interior plan groups, providers, and customers. They recognize the effect of product disentanglement on quality, performance, and profitability in electronic products. Ongoing benchmarks for cost reduction are great. Realizing that their approach is a business, not only a technology strategy, engineers sit in update sessions with unit heads even with presidents and utilize a business score card to quantify progress and organize best practices. The advantages of product improvement are spread through each "contact stage" of a product's travel from the napkin sketch thought, through CAD, production, shipping, administration, service, and end-of-life disposal. Development achieved through analytical costing and rearrangements of the complete pro conduit, from introductory plan to final disposal is what's to come. Magnificently, the best industry trend-setters have just grasped a full comprehension of the dynamic magnificence of effortlessness, yet everybody can, and should, play this game.

DECERTIFICATION ELEMENTS OF PRODUCT MIX OR FACTORS AFFECTING PRODUCT MIX

The accompanying factors assume a significant job in the assurance of the product mix of a company:

1. Technological development has constrained marketing companies to change their product mix.
2. The contribution of research and development additionally assumes a crucial job in the difference in the current product mix.
3. The market is the main thrust of the product mix. Changes in interests, style, Outlook, income, and values seriously influence the product mix of the company.
4. The manufacturing process of certain items likewise influences product mix. By-products of a specific manufacturing process can be changed over into different products. It will extend the current product lines.
5. The product mix is likewise influenced by the long haul destinations of the marketing company. At the appointed time of time, the company will add new products to its current product lines as per its plans.

6. Competition is additionally a significant factor which influences product mix.
7. Advertisement policies, rules, and guidelines additionally assume an imperative job in the change in product mix.

PRICE MIX

Price mix is another significant element of marketing mix. It is considered as exceptionally basic element. Price can be defined as the economic value of product typically communicated in type of money. The price of product ought to be set so that buyers can pay and company can earn sufficient profits. If there should arise an occurrence of price-touchy customers on one hand and the esteem delicate customers then again, the pricing decisions become indispensable in marketing. Typically, pricing decisions includes:

1. Determining product development costs
2. Determining manufacturing (variable and fixed) costs the product
3. Studying pricing policies and strategies of the nearby competitors
4. Formulating appropriate pricing policies for the products
5. Deciding on level or edge of profits
6. Deciding on factor v/s fixed pricing, price segregation, limits, remittances, and regular effect
7. Identifying and analyzing of different significant factors affecting pricing decisions
8. Pricing policies/strategies in various phases of product life cycle
9. Deciding on price-setting methods
10. Pricing decisions for direct and indirect distribution of products

Role of Price in the Marketing Mix

The job of price in the marketing mix is to define the pricing strategy that will best attract those inside the business' objective market. While discussing this issue, the price of the product, limits, segmentation and financing alternatives are incorporated. Setting a price includes figuring out what the objective market is set up to pay, the expenses to produce the product, and what the competitors charge. Building up the price segment of a company's marketing mix strategy incorporates leading research inside its objective market. The business

needs to figure out what its customers are willing to pay, which can frequently be troublesome if the product or service is remarkable or altogether not quite the same as what is as of now being advertised. If so, businesses can utilize overviews and test marketing techniques to pick up understanding into what price focuses are ideal.

The expense of producing the product or service is additionally remembered for the price, and it decides the lower furthest reaches of which the price can be set. The selling price ought to consistently be higher than it expenses to make the product so as to make a profit. The peripheral profit can be determined to decide how much in profit is made per item sold. Components of price in the marketing mix not just incorporate the real price of the product yet in addition limits and the accessibility of financing for customers. For example, a business may find it better to segment its market to offer distinctive pricing alternatives. This is frequently done when software companies make home and business renditions of their products, for instance, with the business adaptation having a higher price point. In the event that the company will offer limited prices or open doors for its customers to finance, the subtleties ought to likewise be remembered for the marketing strategy.

Comparing pricing strategies with the competition can likewise be useful. A business ought to decide on which premise it needs to compete, for example, by becoming a price pioneer, offering the highest calibre, or becoming an extravagance brand. In the wake of deciding this, the company should then set its price appropriately in connection to its competitors. For example, if the business needs to be situated as having the most excellent, it would not have any desire to sell its product at a less expensive price than others in the market.

FACTORS AFFECTING PRICE DETERMINATION OF A PRODUCT

The pricing decisions for a product are affected by internal and external factors.

Internal Factors

Cost

While fixing the prices of a product, the firm ought to consider the cost associated with

producing the product. This expense incorporates both the variable and fixed expenses. Subsequently, while fixing the prices, the firm should have the option to recover both the variable and fixed expenses.

The predetermined objectives

While fixing the prices of the product, the marketer ought to consider the goals of the firm. For example, on the off chance that the goal of a firm is to build return on investment, at that point it might charge a higher price, and on the off chance that the goal is to catch a largemarket share, at that point it might charge a lower price.

Image of the firm

The price of the product may likewise be resolved based on the picture of the firm in the market. For example, HUL and Procter and Gamble can demand a higher price for their brands, as they appreciate goodwill in the market.

Product life cycle

The phase at which the product is in its product life cycle likewise influences its price. For example, during the early on organize the firm may charge lower price to attract the customers, and during the development arrange, a firm may expand the price.

Credit period offered

The pricing of the product is likewise influenced by the credit time frame offered by the company. Longer the credit time frame, higher might be the price, and shorter the credit time frame, lower might be the price of the product.

Promotional activity

The promotional action embraced by the firm likewise decides the price. On the off chance that the firm brings about overwhelming advertising and sales promotion costs, at that point the pricing of the product will be maintained high in control to recover the expense.

External Factors

Competition

While fixing the price of the product, the firm needs to study the level of competition in the market. On the off chance that there is high competition, the prices might be kept low to effectively confront the competition, and if competition is low, the prices might be kept high.

Consumers

The marketer ought to consider different consumer factors while fixing the prices. The consumer factor that must be considered incorporates the price affectability of the buyer, acquiring power, etc.

Government control

Government rules and regulations must be considered while fixing the prices. In certain products, government may report managed prices, and in this way the marketer needs to consider such guideline while fixing the prices.

Economic conditions

The marketer may likewise need to consider the economic condition prevail-ing in the market while fixing the prices. At the hour of downturn, the consumer may have less money to spend, so the marketer may reduce the prices so as to impact the buying decision of the consumers.

Channel intermediaries

The marketer must consider various channel intermediaries and their desires. The more drawn out the chain of intermediaries, the higher would be the prices of the goods.

METHODS OF PRICE MIX/PRICING METHODS

The two methods of pricing are as per the following: A. Cost-situated Method B. Market-situated Methods.

There are a few methods of pricing products in the market. While choosing the method of fixing prices, a marketer must consider the factors influencing pricing. The pricing methods can be extensively partitioned into two gatherings cost-situated method and market-arranged method.

Cost-oriented Method

Since cost provides the base for a potential price extend, a few firms may consider cost-arranged meth-ods to fix the price. Cost-arranged methods or pricing are as per the following:

Cost plus pricing

Cost in addition to pricing includes adding a specific rate to cost so as to fix the price. For

example, if the expense of a product is Rs. 200 for each unit and the marketer expects 10 percent profit on costs, at that point the selling price will be Rs. 220. The distinction between the selling price and the expense is the profit. These methods is less complex as marketers can without much of a stretch decide the expenses and add a specific rate to land at the selling price.

Mark-up pricing

Increase pricing is a variety of cost pricing. For this situation, mark-ups are calculated as a level of the selling price and not as a level of the expense price. Firms that utilization costsituated methods go through imprint pricing. Since just the expense and the ideal rate mark-up on the selling price are known, the accompanying equation is utilized to decide the selling price:

$$\text{Average unit cost/Selling price}$$

Break-even pricing

For this situation, the firm decides the degree of sales needed to cover all the significant fixed and variable expenses. The earn back the original investment price is the price at which the sales revenue is equivalent to the expense of goods sold. As such, there is neither profit nor misfortune. For example, if the fixed expense is Rs. 2, 00,000, the variable expense per unit is Rs. 10, and the selling price is Rs. 15, at that point the firm needs to sell 40,000 units to earn back the original investment. Along these lines, the firm will plan to sell in excess of 40,000 units to make a profit. In the event that the firm isn't in a situation to sell 40,000 points of confinement, at that point it needs to build the selling price. The accompanying recipe is utilized to figure the make back the initial investment point:

$$\text{Contribution} = \text{Selling price} - \text{Variable cost per unit}$$

Target return pricing

For this situation, the firm sets prices so as to accomplish a specific degree of profit for investment (ROI). The objective return price can be determined by the accompanying equation:

$$\text{Target return price} = \text{Total costs} + (\text{Desired \% ROI investment}) / \text{Total sales in units}$$

For example, if the absolute investment is Rs. 10,000, the ideal ROI is 20 percent, the

absolute expense is Rs.5000, and all out sales expected are 1,000 units, at that point the objective return price will be Rs. 7 for each unit as demonstrated as follows:

$$5000 + (20\% \times 10,000) / 7000$$

$$\text{Target return price} = 7$$

The impediment of this method (like other cost-arranged methods) is that prices are gotten from costs without considering market factors, for example, competition, demand and consumers' apparent value. Be that as it may, this method guarantees that prices surpass all expenses and in this way add to profit.

Early cash recovery pricing

A few firms may fix a price to acknowledge early recovery of investment included, when market gauges propose that the life of the market is probably going to be short, for example, on account of design related products or technology-delicate products. Such pricing can likewise be utilized when a firm foresees that a large firm may enter the market sooner rather than later with its lower prices, constraining existing firms to exit. In such circumstances, firms may fix a price level, which would augment present moment revenues and reduce the association's medium-term risk.

Market-oriented Methods

Perceived value pricing

A good number of firms fix the price of their goods and services based on customers' apparent value. They consider customers' apparent value as the primary factor for fixing prices, and the company's expenses as the secondary. The customers' observation can be affected by a few factors, for example, advertising, sales on techniques, effective sales power and after-sale-service staff. On the off chance that customers see a higher value, at that point the price fixed will be high and the other way around. Market research is needed to build up the customers' apparent value as a manual for effective pricing.

Going-rate pricing

For this situation, the benchmark for setting prices is the price set by major competitors. On the off chance that a significant competitor changes its price, at that point the smaller

firms may likewise change their price, independent of their expenses or demand. The going-rate pricing can be additionally partitioned into three sub-methods:

1. **Competitors 'equality method:** A firm may set the equivalent price as that of the major competitor.
2. **Premium pricing:** A firm may charge somewhat higher if its products have some extra exceptional highlights as compared to major competitors.
3. **Discount pricing:** A firm may charge a little lower price if its products do not have certain highlights as compared to major competitors.

The going-rate method is well known in light of the fact that it tends to reduce the probability of price wars rising in the market. It additionally mirrors the industry's coactive knowledge identifying with the price that would produce a reasonable return.

Sealed-bid pricing

This pricing is embraced on account of large orders or contracts, particularly those of industrial buyers or government departments. The organizations submit fixed offers for jobs because of an advertisement. For this situation, the buyer expects the most minimal conceivable price and the seller is relied upon to provide the most ideal citation or delicate. In the event that a firm needs to win a contract, at that point it needs to present a lower price offer. For this reason, the firm needs to envision the pricing policy of the competitors and choose the price offer.

Differentiated pricing

Firms may charge distinctive prices for the equivalent product or service. Coming up next are some the types of separated pricing:

- a) **Customer segment pricing:** Here various customersbunch are charged distinctive prices for the equivalent product or service relying upon the size of the request, payment terms, etc.
- b) **Time pricing:** Here various prices are charged for the equivalent product or service at various timings or season. It incorporates off-top pricing, where low prices are charged during low-demand tunings or season.

- c) **Area pricing:** Here various prices are charged for the equivalent product in various market areas. For example, a firm may charge a lower price in another market to attract customers.
- d) **Product structure pricing:** Here various variants of the product are priced contrastingly however not proportionately to their individual expenses. For example, soda pops of 200, 300, 500 ml, and so forth., are priced as indicated by this strategy.

IMPORTANCE OF PRICE MIX

Price is the Pivot of an Economy

In the economic framework, price is the instrument for distributing resources and mirroring the degrees of both risk and competition. In an economy especially free market economy and to a less degree in controlled economy, the resources can be distributed and reallocated by the process of price reduction and price increment. Price policy is a weapon to understand the objectives of planned economy where resources can be distributed according to planned needs. Price is the prime mover of the wheels of the economy specifically, production, consumption, distribution and exchange. As price is a penance of obtaining power, it influences the expectations for everyday comforts of the general public; it manages business profits and, consequently, designates the resources for the ideal yield and distribution. Along these lines, it goes about as ground-breaking specialist of supported economic development.

Price regulates demand

The intensity of price to produce results in the market place isn't equalled by some other component in the product-mix. It is the best and the most grounded 'P' of the four 'Ps' of the mix. Marketing manager can control the product demand through this ground-breaking instrument. Price increments or diminishes the demand for the products. To expand the demand, reduce the price and increment the price to reduce the demand. Price has an exceptional task to carry out in creating nations where the minor value of money is high than those of cutting edge countries. De-marketing strategy can be effectively implemented to meet the rising demand for goods and services.

As an instrument, it is a major firearm and it ought to be activated only by the individuals who know about its potential outcomes and the threats in question. It is so on the grounds that; the harm done by improper pricing may completely sap the effectiveness of the effectively thought out marketing programme. It might slander even a good product and popularity well an awful product as well.

Price is competitive weapon

Price as a competitive weapon is of fundamental significance. Any company whether it is selling high or medium or low priced product should choose with respect to whether its prices will be above or equivalent to or beneath its competitors. This is an essential policy issue that influences the whole marketing planning process. Secondly, price doesn't remain solitary as a gadget for accomplishing a competitive bit of leeway. In fact, indirect and non-price competitive techniques regularly are increasingly attractive in light of the fact that, they are progressively hard for the competitors to duplicate. Better outcomes are the outcome of a fine mix of price and non-price strategies. Thirdly, there is cozy connection between the product life-cycle and such pricing for competition.

There are eminent contrasts in the sorts of pricing strategies that ought to be utilized in various stages. Since the product life range is directly identified with the product's competitiveness, pricing anytime in the life-cycle should reflect winning competitive conditions.

Price is the determinant of profitability

Price of a product or products decides the profitability of a firm, in the final analysis by impacting the sales revenue. In the firm, price is the reason for producing profits. Price reflects corporate destinations and policies and it is a significant element of marketing mix. Price is regularly used to off-set the shortcomings in different elements of the marketing-mix. Price changes can be made more rapidly than some other changes in the product, channel, and individual selling and sales-promotion incorporates advertising. It is on the grounds that; price change is effectively comprehended and imparting to the buyer in an exact manner. That is the reason, price changes are utilized every now and again for protective and hostile strategies. The effect of price rise or fall is reflected in a split second in the ascent or fall of

the product profitability, imagining that different factors are unaffected.

Price is a decision input

In the areas of marketing management, innumerable and pivotal decisions are to be made. Comparatively marketing decisions are progressively vital on the grounds that, they have bearing on different parts of business and increasingly troublesome as the decision-creator is to shoot the flying game in the changing marketing environment. Typically, profit or commitment is taken as a base for pay-off conditions. Price can be a superior basis for landing at cut-off point in light of the fact that; price is the determinant of profit or commitment.

As pointed before, price as a pointer has an extraordinary job in the decision-production process in creating nations on the grounds that, consumer reaction to price changes will be all the more speedy and unmistakable as people have higher peripheral value of money at their disposal. For example, on the off chance that it is a decision in regards to choosing product improvement potential outcomes, select that probability which gives the most elevated price as compared to the expense. These five focuses make product pricing a significant and major function of marketing manager. Be that as it may, as of not long ago, it has been one of the most ignored areas of marketing management. In fact, we should have a master in pricing as we do have in different functions of marketing. This carelessness is very apparent from the fact that even the notable companies on the planet price their products on basic concepts of expenses market position competition and wanted profit. Logical pricing is considerably more than this simple exercise.

UNIT – IV

MARKETING CHANNELS

MARKETING CHANNELS

A marketing channel is the people, organizations, and exercises important to transfer the responsibility for from the purpose of production to the point of consumption. It is the way products get to the end-user, the consumer; and is otherwise called a distribution channel. A marketing channel is a valuable device for management, and is critical to making an effective and well-planed marketing strategy. Another less known type of the marketing channel is the Dual Distribution channel. This channel is a less traditional structure that permits the manufacturer or wholesaler to arrive at the end-user by utilizing more than one distribution channel. The producer can at the same time come to the consumer through a direct market, for example, a site, or sell to another company or retailer that will come to the consumer through another channel, i.e., a store. A case of this type of channel would establishment.

Jobs of marketing channel in marketing strategies:

1. Links producers to buyers.
2. Influences the company's pricing strategy.
3. Affecting product strategy through marking, policies, ability to stock.
4. Customizes profits, introduce, keep up, offer credit, and so forth.

TYPES OF MARKETING CHANNELS

There are four main types of marketing channels.

Producer → Customer (Zero-level Channel)

The producer sells the goods or provides the service directly to the consumer with no involvement with a centerman, for example, an intermediary, a wholesaler, a retailer, an operator, or a reseller. The consumer goes directly to the producer to buy the product without experiencing some other channel. This type of marketing is generally useful to ranchers who can set the prices of their products without experiencing the Canadian Federation of Agriculture. Ordinarily, goods are that consumed by a smaller segment of the market has

impact over producers and, along these lines, goods that are produced in the reaction on the request for a couple of consumers are considered. Ordinarily goods and services of this channel are not used by largemarket segments. In addition, the price of the goods might be dependent upon huge changes. For instance, high demand directs an expansion in the price.

What's more, this specific channel has three primary methods for direct selling and these incorporate; hawking, mail-request sales and trade through manufacturer-claimed stores. Hawking is an obsolete variant of trade between two gatherings and consignments are regularly sold in small sums by sellers who are travelling to better places. For instance, sales delegate sells New Wave beautifying agents to housewives by utilizing a method of hawking. Mail-request sales are normally used to sell catalogues, books and so on., aside from industrial and cumbersome goods. For instance, a firm sells collectible using mail-request. Additionally, this method of selling is ordinarily looked.

In the last method (manufacture-possessed stores), the manufacturer itself is encompassed by the stores and directly supplies goods to its stores. For instance, Zinger sells its sewing machines through its own stores. Because of distance of goods and products among producer and a seller, it exploits to be an effective channel of distribution in its sort and these focal points are; producers pay close consideration with customers and are aware of theirs' contemplations and thoughts that are imparted to them, there are no intermediaries that could generously reduce the profit of a company which would then bring about huge misfortune and conveyance time is abbreviated due to having no impediments like middleman and so forth. In spite of these apparent points of interest, direct selling has not become a ground-breaking channel. As per a gauge, even under 3 percent of all out consumers' sales are made in this channel.

Then again, technological developments, the guide of the internet and advantageous cell phones are presently changing the manner in which that business works fundamentally. The proliferation of internet-direct channels implies that internet companies will have the option to produce and directly trade and services and goods with consumers. It very well may be distributed directly through the internet, for instance, services in the circle of betting or software, for example, antivirus programs all things considered.

Producer → Retailer → Consumer (One-level Channel)

Retailers, as Walmart and Target, buy the product from the manufacture and sell them directly to the consumer. This channel works best for manufacturers that produce shopping goods like, garments, shoes, furniture, tableware, and toys. Since consumers need additional time with these items before they choose to buy them, it is to the greatest advantage of the manufacturer to sell them to another user before it gets into the hand of the consumers. It is likewise a good strategy to utilize another seller to get the product to the end-user if the producer needs to get to the market all the more rapidly by utilizing a set up network that as of now has brand loyalty. As per the type of the retail property, administrators can be a free company, possessed by an alternate proprietor or to take part in the retail network. Intermediaries (retail service) are basic and helpful because of its professionalism, a capacity to offer products to the objective market, utilizing their associations in the industry, experience, the upsides of specialization and the high caliber of work. The fact proposes that manufactories produce large goods and products yet restricted in its assortment and product. Be that as it may, consumers look for more extensive assortment in lesser amounts. In this way, it is profoundly imperative to distribute goods from various manufacturers to suit consumers needs and needs. While making a retail location the endeavours that required by buyers when making a buy are considered. For instance, stores that selling regular consumer goods are strategically placed for inhabitants of the close by neighborhood. The speed and comfort of service for customers' inclinations are placed in high need and suits their schedule. A similarly significant component of the retail trade are the retail functions that assume vital jobs and they incorporate; research of products, implementation of capacity, setting of pricing policy, arrangements of products and its choice for the formation of various product assortments, investigation of the condition winning in the market. This channel is considered to be advantageous if; the volume of pre-sale and post-sale is unimportant, the measure of segments of the market isn't huge, the assortment of goods and products is wide. At last, the importance of intermediaries in distribution business is fundamental as they assist consumers with getting a specific good of a specific brand without superfluous advances. Therefore, mediators assume a significant job in setting up a correspondence among demand and supply.

Producer → Wholesaler → Retailer → Customer (Two-level Channel)

Wholesalers, as Costco, buy the products from the manufacture and sell them to the consumer. In this channel, consumers can buy products directly from the wholesaler in mass. By buying the items in mass from the wholesaler the prices of the product are reduced. This is on the grounds that the wholesaler removes extra costs, for example, service costs or sales power costs, that customers typically pay while buying from retail; making the price a lot less expensive for the consumer.[7] However, the wholesaler doesn't generally sell directly to the consumer. Some of the time the wholesaler will experience a retailer before the product gets under the control of the consumer. Every seller (the manufacturer, the wholesaler, and the retailer) will be hoping to make a conventional profit edge from the product. So each time the buyer buys the product from another source, the price of the product needs to increment, so as to boost the profit every individual will get. This raises the price of the product for the end-user. Because of the synchronous and joint work of wholesaler and retailer, a trade must be valuable if; a market is arranged on a larger area, the inventory of goods and products is completed small however earnest consignments (products), it very well may be cost-effective and profitable by providing greater consignments (products) to less customers. Industrial factories are in the look for of utilizing preferences of mass production so as to produce and sell huge parcels (groups) while retailers look and incline toward acquiring smaller consignments. This method for factories could prompt moment sales, high effectiveness, and cost-effectiveness. Thusly, especially in these circumstances wholesaler now assumes a job where it reconciles these contradictory yearnings. The wholesaler buys enormous parts at that point isolates limits after resells them to promote retailers. Crafted by wholesaler encourages and makes it less troublesome for the transportation of production. Consequently, a measure of conveyed goods lessens using this channel (the wholesale). For instance, in the event that five manufactories supply goods directly to hundred distinctive retail locations, at that point they should have 500 of conveyances (multiple times 100). Notwithstanding, if those five manufactories supply the equivalent wholesaler, and the wholesaler at this stage supplies 100 unique retailers, at that point the all out number of conveyances will diminish to 105 (5 in addition to 100). Another significant component to consider in the act of wholesaling is

capacity. Capacity of goods is one of the characterized parts of crafted by a wholesaler. Wholesaler manages the conveyances of goods, having synchronized the production and consumption of material goods. In addition, he as the wholesaler further assumes the financial commitments identified with the immobilization of assets put resources into the production of item stocks. Despite the fact that, the chain of transition recommends that the wholesaler directly imparts and manages a manufacturer may not be unambiguous. The commitment of a distributor is exceptionally recognized and assumes a vital job in distributing streams of goods before it gets in the hands of wholesalers, retailers, etc. A distributor is the agent of the manufacturer and performs functions for the benefit of the manufacturer for the distribution of goods from producer to wholesaler or retailer. A distributor is consistently in the search out for orders from various customers and has liveliness in promoting producer's products and services. The primary assignments of a distributor are; study the market and the making of databases of consumers, advertising of goods, an organization of a service for the conveyance of goods, stocking up the stock levels, the formation of a stable sales network, which incorporates vendors and different intermediaries, contingent upon the market circumstance. Distributors barely sellmanufactories' goods directly to customers.

Producer → Agent/Broker → Wholesaler or Retailer → Customer (Three-level Channel)

This distribution channel includes more than one intermediary before the product gets under the control of the consumer. This middleman, known as the specialist, helps with the arrangement between the manufacturer and the seller. Specialists come into play when the producers need to get their product into the market as fast as could be expected under the circumstances. This happens generally when the item is short-lived and needs to get to the market crisp before it begins to decay. Now and again, the operator will directly go to the retailer with the goods, or take a backup way to go through the wholesaler who will go to a retailer and afterward finally to the consumer. A shared collabouration regularly happens when parties, specifically, the last channel of marketing chain of distribution meet. Due to the fact that producers, specialists, retailers/wholesalers and consumers of this channel help one another and advantage from one another. Their collabouration produces a more noteworthy

yield as far as further profitability, by discernment and investigating more up to date markets of sales and building a superior business relationship. The members of distribution channels must have information and experience not just for the effective support of target segments yet in addition to keep up the competitive bit of leeway of the manufacturer. For instance, an Agent who can fluctuate prices for certain products can arrange or potentially lower prices. This will help him in continue the comparative favourable position, remain over its competitors and stay demanded on the market. A Broker works for the most part to bring the seller and the buyer and to aid the exchange process. An intermediary like Broker is generally reliant on the commission of a sold product or production as far as goods. What's more, in this way, a Broker is associated with one-off transactions and can't be an effective channel of distribution.[9] However, he can keep up a competitive bit of leeway over different firms as a specific brand in the event that he has acquired the right to restrictive portrayal of the manufacturer and can profit from it more. He follows up for the seller (Producer/Manufacture) and has no rights to change prices for products. What's more, having framed a channel of distribution recollect that the misuse and use of intermediaries in a business (wholesalers, retailers yet in addition transport coordinations) will stretch the chain of distribution. A business will then need to consider which channel is more cost effective and productive as far as time conveyance, proficiency, pricing policy and where it remains among competitors; for instance, generally criticism, higher rating, higher demand from customers and so on. The best use and help of intermediaries can be applied to fire up businesses and maybe a built up business

CHANNEL OF DISTRIBUTION

A channel of distribution is known as marketing channel. A channel of distribution is the structure of intra-company organisation units and extra-company specialists and sellers, wholesale and retail through which an item, a product or service is marketed. Marketing channels are the mix of offices through which the manufacturer markets the product/service to a definitive consumer. The intermediaries in the distribution channel are called middlemen, who perform functions required to guarantee smooth progression of goods and services from

the manufacturing end to the consuming end.

Structure of Distribution Channel

Examples:

1. Capital Goods; Door-to-Door (Eureka Forbes)
2. Industrial Goods-Institutional Buyers
3. Industrial Goods
4. Durable Goods
5. Agricultural Goods
6. PharmaProducts/Baby Foods
7. Pharmaceuticals.

FUNCTIONS OF MARKETING CHANNELS

According to Prof. Kotler, the following functions are proposed:

1. Research: The social event of information important for planning and encouraging exchange.
2. Promotion: The development and dispersal of powerful correspondence about the offer.
3. Contact: The searching out and speaking with prospective buyers.
4. Matching: The forming and filling of the idea to the buyer's requirements. This incorporates such exercises as manufacturing, evaluating, amassing and bundling.
5. Negotiating: The attempts to reach final agreement on price and different terms of the offer, so that transfer of proprietorship or ownership can be effected.
6. Physical Distribution: The transporting and putting away of goods.
7. Financing: The securing and dispersal of assets to take care of the expenses of the channel work.
8. Risk Taking: The assumption of risks regarding completing channel work.

FACTORS AFFECTING THE CHOICE OF CHANNELS OF DISTRIBUTION

Significant Factors Affecting the Choice of Channels of Distribution by the

Manufacturer:

(A) Considerations Related to Product

At the point when a manufacturer chooses some channel of distribution he/she should deal with such factors which are identified with the quality and nature of the product. They are as per the following:

Unit Value of the Product

When the product is expensive it is ideal to utilize small distribution channel. For instance, Industrial Machinery or Gold Ornaments are expensive products that are the reason for their distribution small distribution channel is utilized. Then again, for less expensive products long distribution channel is utilized.

Standardised or Customised Product

Institutionalized products are those for which are pre-decided and there has no degree for change. For instance: utensils of MILTON. To sell this long distribution channel is utilized. Then again, customised products are those which are made by the carefulness of the consumer and furthermore there is an extension for modification, for instance; furniture. For such products eye to eye association between the manufacturer and the consumer is fundamental. So for these Direct Sales is a good choice.

Perishability

A manufacturer ought to pick least or no middlemen as channel of distribution for such an item or product which is of profoundly short-lived nature. On the contrary, a long distribution channel can be chosen for solid goods.

Technical Nature

On the off chance that a product is of a technical nature, at that point it is smarter to supply it directly to the consumer. This will help the user to know the fundamental technicalities of the product.

(B) Considerations Related to Market

Market considerations are given below:

Number of Buyers

On the off chance that the quantity of buyer is large, at that point it is smarter to take the

services of middlemen for the distribution of the goods. On the contrary, the distribution ought to be finished by the manufacturer directly if the quantity of buyers is less.

Types of Buyers

Buyers can be of two types: General Buyers and Industrial Buyers. In the event that the more buyers of the product have a place with general classification, at that point there can be more middlemen. Be that as it may, if there should arise an occurrence of industrial buyers there can be less middlemen.

Buying Habits

A manufacturer should take the services of middlemen if his financial position doesn't allow him to sell goods using a loan to those consumers who are prone to buy goods using a credit card.

Buying Quantity

It is helpful for the manufacturer to depend on the services of middlemen if the goods are purchased in smaller amount.

Size of Market

In the event that the market area of the product is dissipated genuinely, at that point the producer must take the assistance of middlemen.

(C) Considerations Related to Manufacturer/Company

Considerations related to manufacturer are given below:

Goodwill

Manufacturer's goodwill likewise influences the choice of channel of distribution. A manufacturer getting a charge out of good notoriety need not rely upon the middlemen as he can open his own branches effectively.

Desire to control the channel of Distribution

A manufacturer's desire to control the channel of distribution influences its choice. Consumers ought to be approached directly by such type of manufacturer. For instance, electronic goods sector with an intention to control the service levels provided to the customers at the purpose of sale are turning to company possessed retail counters.

Financial Strength

A company which has a solid financial base can evolve its very own channels. Then again, financially powerless companies would need to rely on middlemen.

(D) Considerations Related to Government

Considerations identified with the government additionally influence the choice of channel of distribution. For instance, just a permit holder can sell prescriptions in the market as per the law of the government. In this circumstance, the manufacturer of medications should take care that the distribution of his product happens just through such middlemen who have the pertinent permit.

(E) Others*Cost*

A manufacturer should choose such a channel of distribution which is less expensive and furthermore valuable from different edges.

Availability

In some cases some other channel of distribution can be chosen if the ideal one isn't accessible.

Possibilities of Sales

Such a channel which has a plausibility of largesale ought to be given weight age.

FACTORS INFLUENCING CHANNEL OF DISTRIBUTION

The determination of a proper channel of distribution is significant. Various factors impact this decision. These factors are:

(A) Product Considerations:

The nature and type of product helps in deciding a decision about channel of distribution.

Price of Product

A high priced product will have less middlemen on the grounds that the quantity of buyers will be constrained. Then again, a low priced product with large number of buyers will require more channels of middlemen to arrive at the customers. A manufacturer won't have the option to manage large number of buyers.

Weight

Substantial and cumbersome products should be sold directly to reduce taking care of expenses. Coal, stones, cement, and so forth are a portion of the models. Light products, then again, will require more middlemen.

Standardisation

At the point when a product is institutionalized it will have universal customer base and may need more middlemen for coming to distant customers. In the event that a product is non-institutionalized or is produced according to the details of the buyer then it can't have more middlemen.

Product Nature

A product of transient nature can't have more middlemen in light of the fact that it should come to the consumer at the most punctual. Bread manufacturers ordinarily have a direct contact with retailers.

After Sale Services

A product may require after sale service. The product like engine vehicles, ice chests, TVs require after sale service. The channel of distribution will be short for such products.

(B) Market Considerations

The nature and type of market and customers impact a decision for choosing channels of distribution. Following factors related with marketing are significant:

Market Size

On the off chance that the product is to be sold in a large area, at that point it will require long channel of distribution. A product to be marketed in a restricted area won't require more middlemen.

Nature of Customers

The products required for industrial use are directly purchased from manufacturers however products for direct utilization of customers will require middlemen for arriving at customers.

Location of Buyers

The area of buyers is likewise significant for choosing the type of middlemen. At the

point when buyers are situated at thickly populated areas then direct selling will be advantageous. At the point when the buyers are scattered in large areas then the utilization of wholesalers and retailers will be fundamental.

(C) Consumer Considerations

The amount to be obtained and the quantity of customers additionally impact the determination of a specific channel of distribution. Following considerations are discussed:

Number of Customers

The quantity of customers additionally impacts the channel of distribution. At the point when the quantity of customers is small and they are situated at central points then direct selling will be simple and economical. On the off chance that the quantity of customers is large and they are dissipated over various areas then middlemen will be useful in marketing.

Quantity to be Purchased

At the point when customers buy large amount of goods then they ought to like to manage the manufacturers/producers. Then again, in the event that customers buy small amounts, at that point sale through middlemen will be simple.

(D) Middlemen Considerations

The effect of middlemen's bonus on price and their effect on sales will help in choosing about the channel of distribution. Following factors should be remembered in this association:

Availability

The accessibility of reasonable middlemen is basic for choosing about the channel of distribution. In the event that proper and dependable middlemen are not prospective, at that point the channel should be kept as short. This may happen that reasonable middlemen are now occupied with competitor's products. In such circumstances the producer should come to the customer directly.

Cost

The effect of middlemen's bonus in selling price should be considered before choosing about the quantity of middlemen. In the event that their bonus will expand the product price significantly, at that point middlemen ought to be least. Else it will adversely influence the

competitiveness of the product.

Effect on Sales

Regardless of whether the middlemen will help in quickening the sales of the product or not ought to be remembered. In the event that a long queue of middlemen doesn't help in expanding the volume of sales then it will be unadvisable to add to the expense of the product by having a long channel of distribution. It might help in expanding sales by reducing middlemen expenses and bringing down the selling price of the product.

(E) Manufacturer's Considerations

The goal, size and financial position of the manufacturer likewise impacts the channel of distribution. The accompanying considerations might be considered in this association:

Financial Position

The financial position of the manufacturer encourages him in choosing the channel of distribution. In the event that the manufacturer is financially stable, at that point he can offer credit to huge consumers by staying away from middlemen. On the off chance that he can't stand to square money for quite a while then he may need to depend on wholesalers.

Volume of Production

A manufacturer with large volume may want to open his very own retail outlets for sales. A small manufacturer, then again, should rely on middlemen for selling his products.

Control over Distribution

A firm may jump at the chance to keep tight power over distribution of its goods. Such a worry will favour short channel of distribution. On the off chance that the firm doesn't plan to control distribution, at that point it may not make a big deal about the quantity of middlemen. The factors discussed above can't be taken independently rather their aggregate effect will impact a decision about the channel of distribution. The distribution channel ought not be chosen in flurry or indiscreetly in light of the fact that it has long haul effect on the sales of the product and the notoriety of the manufacturer.

In the wake of experiencing different considerations, it looks that a producer should adjust many factors before taking a final decision about the channel of distribution. Indeed, even the decision about a specific channel might be checked on sometime in the not too

distant future. A specific channel of distribution chose at the hour of propelling a product might be checked on when the product has been balanced out.

Decision regarding choice of channel of distribution

An objective decision with respect to decision of channel of distribution ought to guarantee the accompanying things:

1. Cost of distribution ought to be least.
2. Promotional endeavours ought to be most extreme.
3. Maximum land market area ought to be secured.
4. Consumer satisfaction ought to be most extreme.
5. Financial and different impediments of the producer ought to be considered.

FACTORS TO CONSIDER WHILE SELECTING DISTRIBUTION CHANNELS

A portion of the factors to consider while choosing channels of distribution are as per the following: (i) Product (ii) Market (iii) Middlemen (iv) Company (v) Marketing Environment (vi) Competitors (vii) Customer Characteristics (viii) Channel Compensation. We need to consider the accompanying factors for the choice of channel of distribution:

Product

Perishable goods need fast movement and shorter course of distribution. For sturdy and institutionalized goods, longer and differentiated channel might be important. While, for custom made product, direct distribution to consumer or industrial user might be attractive. Likewise, for technical product requiring specific selling and serving ability, we have the briefest channel. Products of high unit value are sold directly by travelling sales power and not through middlemen.

Market

- a) For consumer market, retailer is basic though in business market we can take out retailing.
- b) For large market size, we have many channels, though, for small market size direct selling might be profitable.
- c) For profoundly concentrated market, direct selling is liked while for broadly dispersed

and diffused markets, we have many channels of distribution.

- d) Size and normal recurrence of customer's requests additionally impact the channel decision. In the sale of nourishment products, we need both wholesaler and retailer.

Customer and seller analysis will provide information on the number, type, area, buying propensities for consumers and vendors for this situation can likewise impact the decision of channels. For instance, want for credit, demand for individual service, sum and time and endeavours a customer is happy to spend are immeasurably significant factors in channels decision.

Middlemen

- Middlemen who can provide needed marketing services will be given first inclination.
- The middlemen who can offer most extreme co-activity in promotional services are likewise liked.
- The channel producing the largest sales volume at lower unit cost is given top need.

Company

- The company's size decides the size of the market, the size of its larger records and its capacity to set middlemen's co-activity. A large company may have shorter channel.
- The company's product-mix impacts the example of channels. The more extensive the product-line, the shorter will be the channel. In the event that the product-mix has more prominent specialization, the company can support particular or restrictive vendor.
- A company with significant financial resources may not depend on middlemen and can stand to reduce the degrees of distribution. A financially powerless company needs to rely upon middlemen.
- New companies depend vigorously on middlemen because of absence of experience.
- A company wanting to practice more prominent authority over channel will lean toward a shorter channel as it will encourage better co-appointment, correspondence and control.

- Heavy advertising and sale promotion can persuade middlemen in the promotional battle. In such cases, a more extended chain of distribution is profitable. Along these lines, amount and nature of marketing services provided by the company can impact the channel decision directly.

Marketing Environment

During downturn or misery, shorter and less expensive channel is liked. During prosperity, we have a more extensive decision of channel choices. The distribution of short-lived goods even in distant markets becomes a reality because of cold storerooms in transport and warehousing. Subsequently, this prompts extended job of intermediaries in the distribution of transient goods.

Competitors

Marketers intently watch the channels utilized by rivals. Many a period, comparable channels might be desirables to realize distribution of a company's products. In some cases, marketers intentionally stay away from channels utilized by competitors. For instance, company may by-pass retail location channel (utilized by rivals) and receive entryway to-entryway sales (where there is no competition).

Customer Characteristics

This refers to topographical distribution, recurrence of procurement, normal amount of procurement and quantities of prospective customers.

Channel Compensation

This includes money saving advantage analysis. Major elements of distribution cost separated from channel compensation are transportation, warehousing, capacity protection, material dealing with distribution staff's compensation and enthusiasm on stock conveyed at various selling focuses. Distribution Cost Analysis is a quickly developing and maybe the most remunerating area in marketing cost analysis and control.

ELEMENTS OF PROMOTION MIX

Elements of promotional mix are likewise called as apparatuses, implies, or components. Fundamentally, there are five elements engaged with promotional mix. A few creators have considered more elements, as well.

Advertising

Advertising is defined as any paid type of non-individual introduction and promotion of thoughts, goods, and services by a distinguished support. It is a method for mass correspondence. It is the most well known and generally rehearsed instrument of marketpromotion. Significant piece of promotional spending plan is consumed for advertising alone. Different advertising media – TV, radio, papers, magazines, open air implies, etc – are utilized for advertising the product. Characteristics of advertising are:

1. Advertizing is non-individual or mass correspondence. Individual contact is absurd.
2. It is a paid type of correspondence.
3. It is a single direction correspondence.
4. Identifiable element/support company or individual gives advertising.
5. It is expensive alternative to promote the sales.
6. It can be reproduced habitually according to need.
7. Per contact cost is the least.
8. Various variousmedia,print, and outside media can be utilized for advertising reason.
9. It is a broadly utilized and profoundly well known instrument of marketpromotion.

Sales Promotion

Sales promotion covers those marketing exercises other than advertising, publicity, and individual selling that invigorate consumer buying and seller effectiveness. Sales promotion for the most part includes present moment and non-routine motivating forces, offered to vendors also consumers. The well knownmethods utilized for sales promotion are demonstration, trade appear, show, exchange offer, regular markdown, free service, endowments, challenges, and so forth. Characteristics of sales promotion are as per the following:

- The primary reason for sales promotion is to incite customers for immediate buying or vendor effectiveness or both.

- Excessive utilization of sale promotion may influence sales and notoriety of a company adversely.
- It is taken as supplementary to advertising and individual selling endeavours.
- It includes all the promotional endeavours other than advertising, individual selling, and publicity.
- It consists of transient impetuses, plans, or plans offered to buyers, salesmen, as well as vendors.
- It includes non-routine selling endeavours.

Personal Selling

Personalselling incorporates eye to eye individual correspondence and introduction with prospects (potential and genuine customers) for the reason for selling the products. It includes individual conversation and introduction of products with customers. It is considered as a profoundly effective and exorbitant apparatus of marketpromotion. Characteristics of individual have been recorded beneath:

- Personal selling is an oral, eye to eye, and individual introduction with consumers.
- Basic design is to promote products or increment sales.
- It includes two-way correspondence.
- Immediate criticism can be estimated.
- It is a capacity of salesmen to convince or impact buyers.
- It is increasingly adaptable method for market correspondence.
- Per contact cost is higher than advertising.
- It includes educating, educating, and helping people to buy.

Publicity

Publicity is likewise a method for mass correspondence. It's anything but a paid type of mass correspondence that includes getting good reaction of buyers by setting economically critical news in mass media. William J. Stanton defines: "Publicity is any promotional correspondence with respect to an organisation as well as its products where the message isn't paid for by the organisation profiting by it." It is the traditional type of public relations. Publicity isn't paid for by the organisation. Publicity comes from correspondents, reporters,

and columnists. It very well may be considered as a piece of public relations. Publicity includes giving public addresses, giving meetings, leading classes, magnanimous gifts, introduction by film on-screen character, cricketer, politician or mainstream characters, organize appear, and so forth., that attract mass media to distribute the report about them.

Principle characteristic of publicity include:

- Publicity includes getting ideal introduction about company or company's ideas upon radio, TV, or stage that isn't paid for by the support.
- It is a non-paid type of marketpromotion. Be that as it may, a few indirect costs are associated with publicity.
- It may incorporate promotion of new product, contamination control endeavours, uncommon achievements of employees, publicizing new policies, and so forth., for expanding sales. It is principally worries with distributing or featuring company's exercises and products. It is focused to fabricate company's picture.
- Mostly, publicity can be conveyed by means of papers, magazines, radio or TV.
- Company has no influence over publicity as far as message, time, recurrence, information, and medium.
- It has a high level of believability. Publicity message is bound to be perused and responded by crowd.
- Publicity should be possible at a much lower cost than advertising. Company needs to spend a little add up to get the occasion or action publicized.
- Frequency or redundancy of publicity in mass media relies on its social centrality or the values for news. For the most part, it appears just once.

Public Relations

The public relations iscomprehensive term that incorporates keeping up constructive relations with customers, providers, and middlemen, yet in addition with a large set of intrigued publics. Note that public relations incorporate publicity, i.e., publicity is the piece of public relations. William Stanton defines: "Public relations exercises normally are intended to fabricate or keep up a positive picture for an organisation and a great association with the organization's different publics. These publics might be customers, investors, employees,

associations, environmentalists, the government, and people in nearby network, or some different gatherings in the public eye." Thus, public relations incorporate organization's expansive and generally speaking correspondence endeavours proposed to impact different gatherings' frames of mind toward the organisation. A few specialists have expressed that the public relations are an expansion of publicity. Principle characteristic of publicity are as under:

- Public relations are a paid type of market promotion. Company needs to bring about costs.
- Public relations exercises are intended to fabricate and keep up a good picture for an organisation and an ideal association with the organization's different publics.
- It is an indispensable piece of managerial function. Many companies work an extraordinary department for the reason, known as the public relations department.
- It includes various collaborations, for example, reaching, welcoming, informing, explaining, reacting, deciphering, managing, transacting, etc.
- Public relations cover various publics – formal and informal gatherings. These publics might be customers, investors, employees, associations, environmentalists, the government, people of nearby network, or some different gatherings in the public eye.
- Public relations exercises are embraced persistently. It is a piece of routine exercises.
- All the authorities, from top level to supervisory level, perform public relations exercises.
- In connection to modern management rehearses, the public relations is treated as the profession.

Accordingly, there are five significant elements or promotion mix. Each apparatus/element has its favourable circumstances, restrictions, and applicability. Contingent on company's inside and outer circumstances, at least one device is utilized. For the most part, company's promotional programme includes more elements, each element supplements others.

SALES PROMOTION

Sales promotion is the process of convincing a potential customer to buy the product. Sales promotion is intended to be utilized as a transient strategy to help sales it is once in a while reasonable as a method of building long haul customer loyalty. Some sales promotions are focused on consumers. Others are focused at intermediaries and at the association's sales power. When undertaking a sales promotion, there are a few factors that a business must consider:

1. What does the promotion cost – will the subsequent sales support legitimize the investment?
2. Is the sales promotion consistent with the brand picture? A promotion that vigorously limits a product with a premium price may do some long haul harm to a brand
3. Will the sales promotion attract customers who will keep on buy the product once the promotion closes, or will it essentially attract those customers who are consistently watchful for a deal?

There are many methods of sales promotion, including:

Money off coupons – customers get coupons, or cut coupons out of papers or a products bundling that empowers them to buy the product next time at a reduced price

Competitions –buying the product will permit the customer to partake in an opportunity to win a prize

Markdown vouchers – a voucher (like a money off coupon)

Unconditional presents – a free product when buy another product

Purpose of sale materials – for example publications show stands – methods for introducing the product in its most ideal manner or show the customer that the product is there.

Loyalty cards – for example Nectar and Air Miles where customers earn focuses for buying certain goods or shopping at specific retailers that can later be exchanged for money, goods or different offers. Loyalty cards have as of late become a significant type of sales promotion. They urge the customer to come back to the retailer by giving them limits dependent on the spending from a past visit. Loyalty cards can balance the limits they offer by making more sales and convincing the customer to come back. They likewise provide information about the shopping propensities for customers where do they shop, when and what do they buy?

This is truly important marketing research and can be utilized in the planning process for new and existing products.

RECENT TRENDS IN PROMOTION SALE

Buy One Get One Free (BOGOF)

The pattern of giving one item free with one acquisition of one item is becoming exceptionally mainstream in urban areas as well as in rural/sub-urban areas as well. For instance, if pack of bread is priced at Rs.10 and its real manufacturing cost is Rs.3 and both of you breads for Rs.10, you will be still in profit particularly if sales increment because of this BOGOF offer. In retailing this training is really known as a top notch promotion strategy. The stores utilize this method in light of the fact that because of expanded sales they can get advantage on account of economies of scale.

Customer Relationship Management (CRM)

The concept of CRM is of twofold: it is a piece of retail strategy that targets making customers for long haul say entire life and then again, CRM is largely technology driven. The principle focus of CRM is on customers as opposed to products it offers. Models are motivators, for example, extra focuses, gathering numbers are mainstream. Other than this, there are a few different instances of CRM, from petroleum siphons to shopping centres. This expands dependable association with the customers.

New Media

With the change in technologies, e-retail, web based buying, and candy machines are the style of the day. SMS, messages, sites and cell phones are utilized to put orders. For instance Nestle a Swiss MNC printed some individual codes on KIT-KAT chocolate bundling, whereby a customer in the wake of buying it, would enter the code into a unique site to know whether on the off chance that he had won a prize/blessing or not. Customers likewise had choice to check these printed content codes through their PDAs. In India, some companies have likewise begun utilization of such techniques as experimental method.

Customers Expectations

The surge of sales promotion action in the course of the most recent a very long while has

disintegrated the value of the present moment requirement to follow up on sales promotions. Many customers are adapted to expect a promotion at the hour of procurement else they may retain or even adjust their buy if a promotion is absent. For example, nourishment customers are immersed on a week after week premise with such a wide assortment of sales promotions that their loyalty to certain products has been supplanted by their loyalty to current value items (i.e., products with a sales promotion). For marketers, the test is to adjust the upsides of momentary promotions offer versus the potential to disintegrate loyalty to the product.

E-Retailing

Sales promotions are conveyed to customers in many ways, for example, via mail, face to face or inside print media. Be that as it may, the Internet and portable technologies, for example, mobile phones, present marketers with various new conveyance alternatives. For instance, the mix of cell phones and geographic situating technology will before long grant marketers to target promotions to a customer's physical area. This will permit retailers and different businesses to issue sales promotions, for example, electronic coupons, to a customer's cell phone when they are close to the area where the coupon can be utilized.

Tracking

As we discussed in our inclusion of advertising, tracking customer's reaction to marketers' promotional action is basic for estimating achievement of an advertisement. In sales promotion, tracking is likewise utilized. For example, basic food item retailers, whose customers are in control of loyalty cards can coordinate customer sales information to coupon use. This information would then be able to be offered to coupon marketers who may utilize the information to show signs of improvement image of the buying examples of those reacting to the coupon.

Merchandising Additions

Buy one liter get 200 ml free with the pack, buy one kg pay for 750 gms are instances of promoting expansion. Under expansion conspires, a few stores offer plans like buy huge pack and take smaller one at no extra cost. Other than this, occasionally some company offers you a card for six/eight spaces for gluing stickers with the acquisition of each article. At the point

when the card's spaces are full, the consumer is given a free item completely liberated from cost. In India, the well known model is Subway chain of sandwiches that comes under expansion plot.

Discounted Prices

As the very name suggests, under this promotional conspire, companies offer price limits to its customers. A portion of the spending carriers, for example, Air Deccan, Go Airways and Kingfisher, inform their standard and loyal customers through email in regards to any most recent low-price bargains once new flights are presented or some extra goals are declared inside or outside India. Further, some better approaches for sales promotion are by and by. We don't pull out to them however they are working and we even have seen them. Examine not many sales promotion plans. These are not mainstream but rather a few stores are utilizing on mass scale like. Joint promotions drives between brands possessed by a retail company or with another company's brands. For instance, drive-thru eateries and soda pop companies like Pepsi and Coca Cola for the most part run sales promotion programmes where tops, toys, T-shirts, hanging pens and film tickets identifying with a particular motion picture discharge are offered with promoted suppers in the cafés.

Free Samples

For instance, tasting of nourishment and drink at testing focuses in supermarkets, trade fairs and shows like 'Good Living', 'Specialty of Living' yearly fairs at Pragati Maiden in New Delhi. For instance, Milk Mix (an enhanced bubbly beverage) was offered away to potential consumers at supermarkets, International Trade Fair and at in Delhi. Other than this, the rage towards some particular reason related and reasonable trade products that raise moment money with the end goal of philanthropy and the less wealthy ranchers and halfway houses have become famous.

ADVERTISING

Among the different techniques embraced by the modern marketer for promotion of sales, advertising stands apart maybe as the most prominent and well known technique Advertising is such a mainstream term, that it is by all accounts on the tongue of everybody – from

modest kids to most older people. It is a name which everybody whether in urban areas or remote towns is by all accounts familiar with. Advertising is normally called by its short name 'advertisements' making it an effectively usable layman's term. It would be no misrepresentation to call the modern business world as an 'advertising world'. Advertising may be defined in the accompanying manner:

Advertising is the mass correspondence technique of promotion of sales, which is embraced with a fundamental target of setting up a ground for effecting sales-expansion. Following are referred to some well known definitions of advertising:

(1) "Advertising brings to the best number of people genuine information concerning valuable things; it is basically a type of education and the progress of human advancement relies upon education." — The late President Roosevelt of the USA

(2) "Advertising is a methods for conveying information relating to products, services or thoughts by other than direct individual contact and on a straightforwardly paid premise with aim to sell or generally get good consideration." — Zacher

FEATURES OF ADVERTISING

Based on the above definitions and fringe information, we can distinguish the accompanying highlights of the concept of advertising:

1. Advertising is a type of mass correspondence. In advertising, the goal of the advertiser is to acquire the largest conceivable dissemination of the advertising message.
2. Advertising is correspondence of the 'advertising message', in a non-individual structure for example there is no close to home up close and personal contact between the advertiser and the prospects.
3. Advertising is a paid type of mass-correspondence; in that a definite payment is made by the advertiser to the advertising media.
4. Advertising is finished by a recognized support; for example the name of the advertiser consistently appears, some place, in the advertising duplicate. The distinguishing proof of the backer of advertising is important to build up the validity of advertising claims, and to fix duty regarding deceiving advertising on the support.

ADVERTISING MEDIA - CLASSIFICATION

Media of advertising could be classified in the following manner:

1. Press Media:
 - a. Newspapers
 - b. Magazines/periodicals
2. Audio-Visual Media
 - a. Radio
 - b. Television (TV)
 - c. Films
3. Outdoor Advertising Media
 - a. Billboards
 - b. Neon signs
4. Transport advertising
5. Direct communication media – direct mail.
6. Special media – specially advertising
7. Instant advertising media point of purchase advertising.

ROLE OF ADVERTISING IN PROMOTION OF A PRODUCT

The roles of advertising in promotion of the product are as per the following:

Awareness

One of the significant jobs of advertising is to make awareness of the product or services, for example, brand name and price. The awareness of the product or services can be made through featuring the novel highlights of the brand. These days, because of extreme competition it isn't sufficiently only to make awareness, however top of brain awareness is needed.

Information

Advertising serves to inform the intended interest group about the product. Providing information is firmly identified with making awareness of the product. Potential customers

must think about a product, for example, product highlights and employments. Product information is particularly required, particularly when the product is presented in the market, or when product adjustment is attempted. Proper product information can help the consumers in their buy decision.

Persuasion

When business firms offer comparative products, the firm should not just inform the customers about the product's accessibility, yet additionally convince them to buy it. Through influential messages, the marketers attempt to provide reasons with respect to the prevalence of their products as compared over others accessible in the market. Influence can be embraced through innovative advertising messages, product demonstration at trade fairs, offering unconditional presents, premium offers and organizing challenges.

Attitudes

Promotion is required to fabricate or reinforce frames of mind in the psyches of target crowd. The marketers anticipate that the intended interest group should build up a good disposition towards their brands. Uplifting disposition towards the brand expands its sales. Through promotional techniques like advertising, the marketer can address negative frame of mind towards the product, assuming any. Negative demeanour can likewise be adjusted through public relations and advertising.

Reminder

On the off chance that target customers as of now have an uplifting frame of mind towards a company's product or service, at that point an update goal might be essential. The update objective is vital on the grounds that the satisfied customers can be focuses for competitors' appeals. Settled brands need to remind the customers about their essence in the market. For example, 'Raymond – the complete man' battle is intended to remind the customers.

Brand Loyalty

Advertising creates brand loyalty. Brand loyalty brings about recurrent buys and positive recommendations to others by existing customers. Sales promotion, effective individual selling, opportune and productive direct marketing, and different techniques help to create

brand loyalty.

Brand Image

An advertiser builds up a good picture of the brand in the psyches of target crowd. There are a few factors that can be of help to crowd. There are a few factors, for example, the character of the character that underwrites the brand, the substance of the advertising message, the nature and type of pack-aging and the type of programmes or occasions supported, that can create brand picture in the brains of target crowd.

Counter Competitors' Claims

The marketer may counter the cases made by the major competitors. For example, competitive advertising is attempted to counter the cases made by competitors either directly or indirectly. With the assistance of inventive advertising, the marketers can guarantee the predominance of their image. The marketer may likewise attempt forceful sales promotion to counter the competition in the market.

Expansion of Markets

Effective advertisements bring about extension of the markets. A marketer may plan to grow markets from the nearby level to the local level, from the local level to the national level, and from the national level to the global level. For this reason, the marketer may embrace different techniques of promotion.

Educating the Customers

Promotion might be embraced to educate the customers. For example, a portion of the advertising is attempted to educate the crowd with respect to the utilization of the product, taking care of tasks, etc. Public awareness crusades additionally educate the public with respect to the negative effects of clamor, air and dirt contamination, social disasters, etc.

UNIT – V**MARKET SEGMENTATION**

Today, companies have recognized that they can't appeal to all buyers in the marketplace, as they are excessively generally dissipated and excessively fluctuated in their needs and buying rehearses. The majority of the companies have moved from mass marketing towards market segmentation and focusing on. Rather than dispersing their marketing endeavours, firms are focusing on buyers who have more noteworthy enthusiasm for the values they make best.

MARKET SEGMENTATION – MEANING

Market segmentation is an ongoing development in marketing thinking and strategy. It depends on the normal varieties found in a general or complete market. Assorted variety is the fundamental characteristic of a market, be it a consumer market or industrial market. Marketers must comprehend common assorted variety for effective marketing. In the present exceptionally competitive environment, market segmentation, target market determination and effectively situating the contributions are basic requirements for increasing competitive focal points. For example, a prepared to-wear garment seller should initially recognize his customer segment gatherings. He may subdivide his customers as far as sex and age bunch men's wear and women wear. At that point he may continue choosing a specific segment or all the segments. In like manner, he may oblige the needs of each segment proficiently. In like manner, a hotelier may subdivide his customers as veggie lovers and non-vegans. A further sub-division can be normal customers and well-to-do customers. For princely customers he may provide cooled and sumptuous services. What we comprehend from the models given above is that customers are not the same and they vary in many viewpoints including buying power and buying propensities.

Business organisations work in various markets consists of all types of existing and potential customers with their generally changing needs and needs. The markets display generally heterogeneous characteristics with broadly varying and dissipated consumers. The buying rehearses are unique and it is surely hard for any organisation to work and serve such

markets effectively, both from organization's perspective just as consumers' advantage. The business organisation, rather than competing wherever to adapt to the whole market, may choose to recognize those markets or domains of markets which can be served most effectively by offering them right products and coordinating their needs and long haul business and consumer premiums are served in the most wanted manner.

Subsequently, the firm attempts to separate the market into smaller units, club them with the goal that each submarket has pretty much homogeneous characteristics. Consequently, it is sub-partitioning or separating the market into various strong and homogeneous market characteristics with a distinct marketing programme and exertion. The process of separating a market into smaller homogeneous markets with comparable characteristics is called market segmentation. The firm will focus just on those submarkets which can be served most effectively based on their assessment of market requirements. This is called target marketing.

DEFINITIONS

According to *Philip Kotler*, “Market segmentation is the sub-dividing of market into homogeneous sub-sections of customers, where any sub-section may conceivably be selected as a market target to be reached with a distinct marketing mix.”

According to *Stanton*, “Market segmentation consists of taking the total heterogeneous market for a product and dividing it into several sub-markets or segments, each of which tends to be homogeneous in all significant aspects.”

Market segmentation is only the initial phase in a three-stage marketing strategy. Subsequent to segmenting the market into homogeneous groups, the marketer must choose at least one segment to target. So the second step is target marketing, which is the process of assessing each market segment's attractiveness and choosing at least one segment to enter.

DIFFERENT WAYS TO SEGMENTATION/BASES OF MARKET SEGMENTATION

A portion of the significant bases for market segmentation are as per the following: 1.

Geographic Segmentation, 2. Demographic Segmentation, 3. Psychographic Segmentation, 4. Behaviouristic Segmentation, 5. Volume Segmentation, 6. Product-space Segmentation and 7. Benefit Segmentation. A large number of factors are utilized to segment a consumer market. The most widely recognized bases for segmenting markets are as per the following:

- Traditional: Geographic, Demographic
- Modern: Psychographic, Behaviouristic

Geographic Segmentation

Geographic area is one of the least difficult methods of segmenting the market. People living in one area of the nation have acquiring and consuming propensity which contrasts from those living in different districts. For instance, way of life products sell very well in metro urban areas, e.g., Mumbai, Delhi, Kolkata and Chennai however don't sell in small towns. Banking needs of people in rural areas vary from those of urban areas. Indeed, even inside a city, a bank office situated in the northern piece of the city may attract a bigger number of customers than a branch situated in eastern piece of the city.

Demographic Segmentation

Segment factors, for example, age, occupation, education, sex and income are usually utilized for segmenting markets.

- a) Age: Teenagers, grown-ups, resigned.
- b) Sex: Male and female.
- c) Occupation: Agriculture, industry, trade, students, service sector, house-holds, organizations.
- d) Industrial sector: Large, small, minor.
- e) Trade: Wholesale, retail, exporters.
- f) Services: Professionals and non-professionals.
- g) Institutions: Educational, religions, clubs.
- h) Agriculture and house industries.
- i) Income Level: Above Rs. 1 lakh for each annum, Rs. 50,000 to Rs. 1 lakh, Rs. 25,000 to Rs. 50,000 for every annum, i.e., higher, center and lower.
- j) Family Life-cycle: Young single, youthful wedded no kids, youthful wedded most

youthful youngster under six, youthful wedded most youthful kid more than six, more established wedded with kids, more seasoned wedded no kids under eighteen, more seasoned single, and so forth.

Psychographic Segmentation

Under this method consumers are ordered into market segments based on their mental make-up, i.e., character, demeanour and way of life. As per frame of mind towards life, people might be delegated traditionalists, achievers, and so forth. Rogers has distinguished five gatherings of consumer characters as indicated by the manner in which they receive new products:

- a) *Innovators*: These are cosmopolitan people who are anxious to attempt new thoughts. They are exceptionally bold and willing to assume the risk of an infrequent terrible involvement in another product.
- b) *Early Adopters*: These are persuasive people with whom the normal individual looks at advancement.
- c) *Early Majority*: This gathering will in general conscious before embracing another product. Its individuals are significant in legitimizing an advancement however they are only occasionally pioneers.
- d) *Late Majority*: This gathering is careful and embraces new thoughts after a development has gotten public certainty.
- e) *Laggards*: These are past-arranged people. They are suspicious of progress *and developments. When they embrace a product, it might as of now have been* supplanted by another one. Comprehension of psychographic of consumers empowers marketers to more readily choose potential markets and coordinate the product picture with the type of consumer utilizing it. For instance, women utilizing bank MasterCard are said to lead a functioning way of life and are worried about their appearance. They will in general be freed and are happy to attempt new things.

Psychographic order may, nonetheless, be a misrepresentation of consumer characters and buy conduct. So many factors impact consumers that an early adopter of one product likely could be a slow poke for some other product and the other way around.

Behaviouristic Segmentation

In this method consumers are characterized into market segments not the premise of their insight, frame of mind and utilization of real products or product traits. Any of the accompanying factors may be utilized for this reason:

Purchase Occasion: Buyers might be separated based on when they utilize a product or service. For instance, air travellers may fly for business or get-away. In this way, one aircraft may promote itself as a business flyer while another might focus on the sightseers.

Benefits Sought: The significant advantage looked for in a product is utilized as the premise of order consumers. Top notch, low price, good taste, speed, sex appeal are instances of advantages. For instance, some air travellers favour economy class (low price), while others look for official class (status and solace).

User Status: Potential buyers might be named ordinary users, infrequent users and non-users. Marketers can grow new products or new employments of old products by focusing on some of these gatherings.

Volume Segmentation

Consumers are arranged light, medium and overwhelming users of a product. At times, 80 percent of the product might be offered to just 20 percent of the gathering. Marketers can choose product highlights and advertising strategies by finding normal characteristics among substantial users. For instance, carriers having 'Long standing customer' are utilizing user rate as the premise of market segmentation. By and large, marketers are keen on the substantial user gathering.

Be that as it may, marketers ought to pay thoughtfulness regarding all the user bunches since they speak to various chances. The non-users may consist of two types of people the individuals who don't utilize the product and the individuals who may utilize it. Some may change after some time from a non-user to a user. The individuals who don't use because of obliviousness might be provided broad information. Dull advertising might be utilized to overcome latency or mental obstruction. Thusly non-users can step by step be changed over into users.

Product-space Segmentation

Here the buyers are asked to compare the current brands as indicated by their apparent closeness and in connection to their optimal brands. Initially, the analyst induces the dormant characteristics that consumers are utilizing to see the brand. At that point buyers are characterized into bunches each having a distinct perfect brand at the top of the priority list. The distinctive characteristics of each gathering are found out.

Benefit Segmentation

Consumer behaviour/conduct depends more on the advantage looked for in product/service than on segment factors. Each market segment is distinguished by the significant advantages it is looking for. Most buyers look for as many benefits as could be allowed. Be that as it may, the relative significance joined to singular advantages varies starting with one gathering then onto the next. For instance, some consumers of toothpaste give more noteworthy significance to freshness while other favour taste or brightness of teeth. Research studies on advantage segmentation uncover that it is simpler to exploit existing segment, at that point to make new segments. As no brand can appeal to all consumers, a marketer who needs to cover the market completely should offer numerous brands. The accompanying advantage segments have been distinguished:

- a) The Status Seeker: This gathering comprises buyers who are especially worried about the distinction of the brand.
- b) The Swinger: This gathering attempts to be modern and exceptional in the entirety of its exercises.
- c) The Conservative: This gathering lean towards mainstream brands and large fruitful companies.
- d) The Rational Man: This gathering searches for advantages, for example, economy, value, sturdiness and other intelligent factors.
- e) The Inner Directed Man: This gathering is worried about self-concept, e.g., feeling of humour, freedom, trustworthiness, and so forth.
- f) The Hedonist: This gathering is concerned for the most part with tangible advantages.

Marketing specialists recommend that advantage segmentation has the best number of reasonable ramifications than some other method of segmentation.

ESSENTIAL OF EFFECTIVE MARKET SEGMENTATION/CRITERIA FOR EFFECTIVE MARKET SEGMENTATION

Measurable and Obtainable

The size, profile and other significant characteristics of the segment must be quantifiable and reachable regarding information. It must be conceivable to decide the values of the factors utilized for segmentation with legitimate endeavours. This is significant particularly for segment and geographic factors. For an organisation with direct sales (without intermediaries), the possess customer database could convey important information on buying conduct (recurrence, volume, product gatherings, method of payment and so forth).

Relevant

The size and profit potential of a market segment must be large enough to economically legitimize separate marketing exercises for this segment. In the event that a segment is small in size, at that point the expense of marketing exercises can't be defended.

Accessible

The segment must be available and servable for the organisation. That implies, the customer segments might be chosen considering that they can be gotten to through different objective gathering explicit advertising media, for example, magazines or sites the intended interest group likes to utilize.

Substantial

The segments ought to be significant to produce required returns. Exercises with small segments will give a one-sided result or negative outcomes.

Valid

This implies the degree to which the base is directly connected with the distinctions in needs and needs between the diverse segments. Given that the segmentation is basically worried about recognizing bunches with various needs and needs, it is crucial that the segmentation base is important and that various inclinations or needs show clear varieties in market conduct and reaction to independently structured marketing mixes.

Unique or Distinguishable or Differentiable

The market segments must be that various that they demonstrate various responses to various marketing mixes. On the off chance that not, at that point there would have been no utilization to split them up in segments.

Appropriate

The segments must be appropriate to the organisation's destinations and resources.

Stable

The segments must be steady so its conduct later on can be anticipated with an adequate level of certainty.

Congruous

The needs and characteristics of each segment must be comparative generally the primary target of segmentation won't be served. In the event that inside a segment the conduct of consumers are extraordinary and that they respond in an unexpected way, at that point an exceptional marketing strategy can't be implemented for everybody. This will require a further segmentation.

Actionable or Feasible

It must be conceivable to approach each segment with a specific marketing programme and to draw points of interest from that. The segments that a company wishes to seek after must be noteworthy as in there ought to be adequate finance, work force and capacity to take them all. Subsequently, contingent on the range of the company, the segments must be chosen.

Some general considerations

Aside from the above-mentioned characteristics, the segment must have some different highlights:

- i. Growth potential
- ii. Profitable
- iii. Less riskprone
- iv. Less competition serious

DISTINCTION BETWEEN DIFFERENTIAL MARKETING & CONCENTRATED MARKETING

Separated marketing is a half and half arrangement between undifferentiated, or mass marketing, and concentrated marketing. While a concentrated marketing strategy addresses only one segment of the marketplace, separated marketing attempts to explicitly address more than one segment. By contrast, undifferentiated marketing offers a conventional product and marketing message to the whole market at large, without focusing on a particular segment.

Scope

Concentrated marketing takes a restricted focus on just one gathering of potential buyers, which might be explicitly distinguished by parameters including age, income, sexual orientation, area, conjugal status or different factors. The product and marketing message are explicitly routed to that gathering as it were. Separated marketing additionally customizes a message for every one of its objective consumers however attempts to attract at any rate two - and potentially various - gatherings of buyers.

Sales Potential

By focusing on its message and even its product to more than one sub-gathering of accessible buyers, a company utilizing a separated marketing strategy expands its pool of sales prospects. For example, marketing a product to both men and women instead of just women generally copies the quantity of potential buyers. Notwithstanding, sometimes, the product fills such a particular specialty, that attempting to sell to different segments would be a waste. This is especially valid for very good quality products with solid sales edges, where less units sold at a higher edge will in any case produce profitability.

Costs

Contingent upon how many parts of the marketing mix are custom-made to various markets, the expense of marketing may almost twofold with each additional segment. This is especially valid if product customization is one of the factors separated between markets. By just making one marketing effort, companies utilizing concentrated marketing can spare copy costs and grow more profundity in their single market.

Concentrated Marketing	Differentiated Marketing	Undifferentiated Marketing
Ordinarily embraced by small firms simply beginning (as they have restricted resources and expertise)	Ideal for companies wishing to grow	Quite appropriate for conventional markets (where the product is an item)
May be vital approach for firms with a restricted arrangement of abilities and skills	A essential approach for large companies wishing to protect their market share	Can be helpful when there is little assorted variety of center needs between the defined market segments
Likewise utilized by specialty marketers whose competitive preferred position is their notoriety and mastery inside a well-defined, and as a rule very small, market segment	A good approach from firms who have resources/capacities that can be utilized into other objective markets	This is a potential approach for large worldwide companies that have solid contributions, (for example, Apple with their iPad, which could be considered a case of modern day mass-marketing)
This might be a reasonable approach if the organization is has had financial troubles and needs to conserve resources	A fundamental approach where there is a decent variety of consumer needs crosswise over market segments	Typically a good approach for small or rising sub markets, where the development of numerous marketing mixes would not be practical

Undifferentiated Marketing (Mass Marketing)

The firm attempts to arrive at a wide scope of consumers with one fundamental marketing plan. These consumers are assumed to have a longing for comparative good and service properties. Henry Ford, sold one standard vehicle at a sensible price to many customers. The Original Model T had no choices and came uniquely in dark. Undifferentiated marketing augments sales.

Concentrated Marketing

The firm concentrates on one gathering of consumers with a distinct set of needs and utilizations a customized marketing plan to attract this single gathering. Concentrated marketing can let a firm boost for each unit profits however not add up to profits, since only one segment is looked for. A firm with low resources may compete effectively for particular markets. Shree Leathers, Shoe creator in Kolkata targets white collar class customers segment for the entirety of its shoes.

Differentiated Marketing (Multiple Segmentation)

Differentiated Marketing empowers a firm to appeal to at least two distinct market segments, with an alternate marketing plan for each. It joins the best parts of undifferentiated marketing and concentrated marketing.

Firms may utilize both mass marketing and concentrated marketing in their various segmentation strategies. Microsoft has complete lines of software focused on independently at final consumers (for home use) and organisational consumers (for business use). P&G, an innovator in clothing cleansers has different brands, for example, Tide, Bold, Drift, Cheer, Gain, Ivory Snow and Ariel. Different segmentation allows a firm to firm and limit risks on the grounds that all emphasis isn't set on one segment. Indian vehicle creators like Maruti-Suzuki and others are likewise pursuing multi-brand strategy.

UNIT – V**PROMOTION AND DISTRIBUTION**

INTRODUCTION - PROMOTIONAL MIX

In order to survive in a competitive market, it is important that a company makes its consumers aware of its products, idea and services is able to reach the masses, it is impossible to establish your business in the market. Therefore, marketers need to promote their product or services in an organized way. They need to implement the right techniques and tools for a successful promotion.

Marketing promotion helps in providing important marketing information and persuading its consumers to buy or avail their products or services through persuasive measures. Marketers should be familiar with the important tools and techniques used. Marketers should have a clear understanding of promotional mix for both new products and existing products.

Meaning of Promotion.

Promotion focuses on communicating with the target market. Promotion, thus, informs, persuades and reminds the target group of the availability of the product, the place where it is available, and the price of the product. Thus, it includes the Integrated Marketing Communication, the Process of Communication, and the promotion mix or the tools to promote product, service or idea. Promotion is a fact of life and is essential for every business.

IMPORTANCE OF PROMOTION*Information.*

It informs (awareness and education) customers about the launch of new product/service/idea and the place of availability.

Persuasion.

The promotion is to persuade the customers to use one particular brand in this brands-cluttered world.

Remind. Promotion has to continuously remind the customers of the brand and enforce customer loyalty; It is true not only during normal times, but even when the product is in shortage, so that customers do not forget your brand. During the World War II Bourn Vita was in short supply, yet the company continued to advertise for this very purpose.

Relationship.

Promotion is meant to create relationships through constant promotion and involvement of customers with the marketer so as to create a lifetime relationship with them.

Adds value: Promotion creates value by influencing consumers' perceptions.

Assists other company efforts.

Promotion accomplishes goals, assists sales representatives, and enhances the results of other marketing communications

ELEMENTS OF PROMOTION MIX

Most of the writers on marketing have identified four elements of promotion mix, viz., Advertising, Sales promotion, Public Relations and Personal selling. However, Kotler et al. have identified eight elements of promotion mix – Advertising, Sales Promotion, Events and Experiences, Public Relations and Publicity, Direct Marketing, Interactive Marketing (online), Word-of-Mouth Marketing and Personal selling. All the eight elements can be included into the following five elements:

Advertising and Word - of -Mouth Communication.

Sales Promotion.

Direct marketing and online Marketing.

Personal Selling.

Public Relations and Sponsorship.

ADVERTISING

It is a paid form of mass communication and can be traced to an identified sponsor. Now a days Advertising plays a significant role in awareness creation and attitude formation. In a macro concept, it stands for the managerial function of an organization intending to send information to the other members of the society.

Definition.

According to William J Stanton, **‘advertising consists of all the activities in presenting to a group a non-personal, oral or visual, openly sponsored message regarding a product, service or idea’.**

American Marketing Association defined it as, “Any paid form of non — personal presentation of ideas, goods, or services by an identified sponsor.”

OBJECTIVES OF ADVERTISING.

To announce the introduction of a new product.

To motivate the buyers to buy.

To create demand for the product.

To achieve an immediate sale.

To announce certain concessions to buyers like discount, price cut, gift etc.

To popularize the brand name and to secure brand loyalty.

To support the activities and efforts of _____ the middlemen,
distributor, wholesaler, retailer and salesman.

To build up image for the business and achieve a higher market share.

To counter the competitor’s strategies.

To promote sale during off-season and maximize sale during festival session.

ROLE / ADVANTAGES / IMPORTANCE OF ADVERTISING

Advertising is an integral part of our social and economic system. As a powerful technique of promoting sales, it has been doing wonders in the domain of distribution. The role of advertising can be analyzed from five distinct angles.

Advantages to Manufactures.

It helps in opening new market and maintains the existing market

It increases the demand for the product

It helps to build up or increase goodwill of the company.

It controls product price.

It stabilizes the sales volume and increase the profit.

It helps to introduce a new product into the market.

Advantages to Middlemen.

It guarantees quick sales

It acts as a salesman.

It increases the prestige of the dealers.

It makes retail price maintenance possible.

It enables the dealers have a product information.

It creates a colorful background for salesmen to begin his work.

It reduces his burden of job.

It helps to develop self-confidence and initiative among the salesmen.

Advantages to consumers:

It ensures better quality product at reasonable price.

It provides product related information to the customers and thereby makes the purchasing an easy task.

It helps the consumers to save time by providing information related to the availability of product.

Helps the consumers in intelligent buying.

Advantages to society.

It helps to generate gainful employment opportunities.

It provides new horizons of knowledge.

It up-holds the culture of a nation.

Advertising Copy

Advertisement Copy is the soul of any advertisement. An advertisement copy is all the written or spoken matter in an advertisement expressed in words or sentences and figures designed to convey the desired messages to the target consumers.

A good advertising copy has the following attributes:

Attributes or Elements or Good qualities of an Advertisement copy.

It is brief: Being brief is not dropping words or chopping sentences, it is the work of eliminating and substituting the words without jeopardizing the meaning.

It is clear: A clear copy is one which is easily and quickly read and grasp by the readers.

It is apt: Writing an apt copy is the art of putting in the words that create strong desire to possess the product where the product features satisfy the consumer's desire to possess.

It is honest: Credibility of an ad message is decided by the extend of honesty.

It is conforming: Every ad copy is to conform to standards, rules and regulations acceptable to the advertisement media and the laws of the land.

TYPES OF ADVERTISEMENT MEDIA or KINDS OF MEDIA

There are different advertisements Media, they are,

INDOOR ADVERTISING.

When advertising is made through **newspapers, magazines, radio, television programs or cinema program in video etc.**, so that people can get the message at home, it is known as Indoor advertisement.

Merits.

Wide coverage is possible.

It is more effective for all possible.

Detailed and informative sales program is possible.

It is economical and compare with other advertisement media.

It stimulating the demand of the product.

Demerits.

It is having a shortest life.

It is less flexible and, in many cases, listeners may be irritated with the indoor advertising.

TYPES OF INDOOR ADVERTISEMENT MEDIA.

Indoor advertisement classified in the following ways,

Press Media.

Advertisement in newspapers, general magazines, specialized magazines, journals, etc., can be called as press advertising. It is the most popular and widely used means of advertising. They convey the message to multitude of population across the globe. Growth of literacy, number of magazines in different languages, color pictures etc., encourage the people to go in for press media. Press media advertisement reaches every nook and corner of the country

Radio.

Radio is the quickest medium of advertising when compared to newspapers or magazines. Sound moves faster than other media. These medium reaches, the look and corner of a country. The main advantage is that it can be carried anywhere due its portable character, ninety percent of population possess radio. Advertisement of FMCG goods accounts for large portion of radio advertisement.

Television.

Television has exhibited a rapid growth among all advertising media. A major portion of promotional budget of companies spent on television. Television is intense in nature in the sense that it commands undivided attention and dedication of viewers to the programs. An eye-catching commercial is easily noticed, thus creating product awareness among TV viewers. TV appeals to both the sense sound and sight. As a result, it combines the two to produce high impact commercials. Products promoted

through TV commands great image. Because of inherent life quality, the advertiser uses infinite creativity through this medium.

Film advertisement.

Advertising could be effectively carried out through the use of motion picture of cinema. It is audio visual medium. Film advertisement can be audience specific. For instance, educational film is meant for student community. Film on agricultural practice is meant for farmers. But films on sanitation, sports, food preservation etc., are for general public.

OUTDOOR ADVERTISING.

Outdoor advertising passes the message to those people who are moving audience. Generally, almost all the people go out on some purpose or other office, walk, sightseeing, journey, park visit etc. This outdoor advertising has the best effects of advertising compare with other advertising.

Merits.

This is the best for local advertising; it has the wider appeal.

It engages few seconds of people's time and need no effort.

Its effect is permanent.

It is flexible compare with other advertisement media.

It is a low-cost medium.

Demerits.

It reduces its value because of brevity.

It can be used only as a supplementary type of advertising.

TYPES OF OUTDOOR ADVERTISING MEDIA

Outdoor advertising classified in the following way,

Posters and Painted boarding or Mural Advertising.

Posters are pasted on the walls or exhibited on street corner, bus

terminus, railway station, thorough out etc., Painted display are exhibited on hoarding erected on

the top of buildings or on specially constructed building. The use of attractive colors catches the eye of moving population. They have a mass appeal. Posters should be big and attractive. It is mostly used in cinema advertising and political party advertisement.

Vehicular advertising.

This moving advertisement finds place on vehicles — buses, trains etc. The vehicle passes through many places and many people happen to see it.

Travelling Display.

These are the advertisements as posters, small in size, written beautifully and placed inside trains, buses, tramcars, vans etc. The travelling people, in these vehicles repeatedly notice it and keep it in their memory.

Electric and Neon sign.

These are the most attractive forms of outdoor advertising used in busy locations during evenings and nights. The erection cost and power cost add to the cost of the medium and it is brighter and alluring.

Sky writing.

Advertising message written on balloons floated in the air or message written in the sky with use of smoke etc. are called sky writing. Airplanes or helicopter display illumination banners containing message in the open sky.

Sandwich man.

The term sandwich refers to people who are sent out on in the crowded street dressed in fancy clothes with placard carrying the message. When they go in the crowded street or procession, attention or passersby is arrested. They shout slogans about the product.

Handbills or Leaflets advertising.

Handbills are very cheap. It contains printed matters of advertisement.

They are distributed with the help of a hired man. At times distribution of handbills is accompanied by loud speakers and music bands. This type of advertising is suitable for small business people.

Point of Purchase.

Point of purchase advertising refers to display of goods attractively arranged inside the shop on the racks. Manufacturing firm themselves supply materials to dealer for this purpose. Where goods are displayed on the racks, they are called counter display.

Specialty advertising.

The practice of offering diaries, cigarettes cases, table weight, pincushion, pen stands, calendar, key chain, pens etc. bearing the name of the company to the prospects and existing customers is referred to as 'specialty advertising'

DIRECT ADVERTISING.

The object of direct advertising is to create a direct contact with the customers. The advertiser can keep a close touch with the customers or the public, who are supposed to have interest in his product. He contacts them and keeps a close touch with them through mail advertising.

Merits.

A personal relationship with the customers can be maintained.

Detailed information can be conveyed.

This system is elastic; addition or deletion is possible.

Privacy can be maintained.

Effectiveness of this system can be measures.

Demerits.

The success depends upon the reaching of the recipient.

In many cases, it fetches no attention of the receiver.

TYPES OF DIRECT ADVERTISING

Direct advertising classified in the following way,

Sales Letter.

Sales letter are written advertisement mailed to specific individual. They contain messages couched in a tactful language. Readers are persuaded to peruse it completely. They urge the readers to act in quick time.

Circulars.

It carries communication to a number of addresses. The circular letter contains information about the product features, uses places availability, technical specification, price, terms of sales etc. It is generally cyclostyled or is in the printed form.

Booklets and catalogues.

These contain more particulars of the product and the firm. Booklets are in the form of a small book. Catalogue contains more information than a booklet. Fundamentally both are similar. Catalogue will be more attractive and it contains illustration of products with details and price lists.

Folders.

They are printed loose leaflets or booklets. They furnish vital information about the product. They are flexible and cheap.

Package inserts.

These are inserted inside the pockets of products. They provide information about the content of the package or other products offered by the company. It reaches only the actual buyers of the product.

Inhouse Magazines.

Companies periodically publish magazines for distribution among its customers. It contains article, stories, cartoons, pictures etc., It enhances the image of the company in the market.

PROMOTIONAL OR DISPLAY ADVERTISING.

The object of promotional advertising is to increase the sales. These are also known as 'display advertising'. By this, we mean that the products are systematically kept in a place so as to attract the attention and notice of the lookers. It demonstrates the products.

Merits.

Purchasing is made easier.

It facilitates to sell allied products.

It is flexible.

It is always interesting to the public.

Variety of products display can be witnessed.

TYPES OF PROMOTIONAL ADVERTISING

The following way classified in the promotional advertising.

Window Display.

Window display is the medium used to attract the public by creating an interest in them. The products dealt in by the firm are placed at the front of the firm, trying to create an arousing interest in the minds of them. A good arranged system of window display naturally increases the sales. It gives a memorizing attitude to the public and intention to buying the products.

Interior Display.

In large scale organization, they use this type of display. Glass - doored cupboards, sunglass show-cases are used for internal display. Window display is arranged, outside, but interior display is inside the shop. The related articles are displayed within easy reach. It is easy for the buyers to get the products needed by

them.

Show-room.

Consumers always insist on prior inspection of the products. Which they aim to purchase and to know the facility for the products. Therefore, sellers must provide facility for their inspection. Buyers are not satisfied with mere publicity. They want to have a close look at the product. In a show-room, not only the needed products are kept, but different products also. And this creates an inward interest on other products, when one makes a purchase of the needed item. In the show-room, salesmen are there to explain about the products and clarified the doubt about the products. It must be highly decorated and must have good lighting arrangement with good atmosphere. For instance, textile mills, and firms producing furniture, refrigerators, television sets, radio sets and other luxurious items must have generally show-rooms.

Exhibition.

Exhibition is organized at important locations. It aims at promoting sales of goods. Various organizations participate in the fair. Buyers have opportunity to get exposed to variety of products. They are in a position to compare the offerings of various companies participating in the exhibition. It develops a close relationship between buyers and companies.

SALES PROMOTION.

No firm or organization can be successful unless it is able to promote its sales through various promotional techniques. Only advertising cannot work in case of technical or complex products. Moreover, face to face interaction can be more convincing in case of various products. Personal selling is important technique to increase sales of the firm. Similarly, sales promotion is also effective in increasing sales. Both the techniques can be combined to achieve good results.

Sales promotion is an important instrument in marketing to lubricate the marketing efforts. Promotion means to make efforts to move or advance forward.

Sales Promotion means taking efforts to move sales of the product of the company forward in the market. It is the process of selling more and more goods of the company to the satisfaction of consumers.

OBJECTIVE OF SALES PROMOTION

Providing information

Promotion is an exercise in information, persuasion and influence. Thus, its major role is persuasive communication. The producer through promotional means provides information regarding the quality, different uses and the price of the product or service to the consumers.

Increase sales volume

The main purpose of all promotional activities is to increase the sales of the product or products of the company. Promotional activities help to increase sales volume through various techniques. The techniques such as distributing samples, free gifts, purchase premium, discounts etc. may be used.

To arrest sales decline

In slack season, the promotional activities help in maintaining the sale of the product. Attractive discounts are offered to customers and to sales force. This leads to increase in sales volume. In this way, the producer arrests the seasonal decline in the demand of his product.

To keep the memory alive

One of the main objectives of sales promotion is to keep the memory of the product alive in the minds of the present customers.

To search new customers: To main objective of sales promotion is find out new customers, on occasion producers to boost sales, give tempting concessions such as buy one and get one free.

To face competition effectively:

Promotional activities help the producer or seller to meet the competitive situations in the market. The competition may be from manufacturers or sellers of

similar products or of substitutes. Without promotional activities, a concern cannot meet competition effectively.

To induce middlemen:

Middlemen are induced to buy more stock of company's product by offering more facilities such as credit facilities, discount, free gifts, additional products etc.

Effective sales support:

Sales promotion policies supplement the efforts of personal and impersonal salesmanship. Normally good sales promotion measures make the salesman's effort more productive.

Useful to salesmen:

Sales promotion reduces the burden of salesman. Sales promotion programme gives detail information about consumers requirements. Sale promotion policies supplement the efforts of salesman.

To attract prospective buyers:

To attract prospective buyers towards the product and to induce them to buy the product at the point of purchase.

TYPES OF SALES PROMOTION

Many promotional tools/Techniques/Tactics are in use, these are:

Dealer promotion /Trader promotion.

Consumer promotion.

Prize Promotions.

Sales force promotion contests.

Off-the Shelf Offers.

Dealer promotion /Trader promotion.

Trade promotion objectives are to motivate market intermediaries to invest in the brand and aggressively push sales. It includes -

Price deals - Under this method, special discounts are offered over and above the regular discounts.

Free goods - Here, the manufactures give attractive and useful articles as presents to the dealers when they buy a certain quantity.

Ad Materials - In this case, the manufacturer distributes some ad materials for display purpose.

Trade allowance - It includes buying allowance, promotional allowance and slotting allowance.

Dealer contests - It is a competition organized among dealers or salesmen.

Trade shows - Trade shows are used to familiarize a new product to the customers.

Consumer promotion.

The broad objective of consumer promotion is to create pull for the brand and it includes-

It includes Extra Fill Packs - 20% extra free, i.e., extra fill without any additional charge.

Free Offers - Buy two pieces and one piece is free, i.e., extra unit free.

Reduced Shelf Price - The most common form of price promotion is reduced Shelf Price.

Reduced Price Offers (RPOs) - RPO are flashed on-pack, offering a saving (Rs 10) or a price slashed through and a lower price given.

Cash Rebates -The customer is invited to collect tokens from a number of packs and send them to receive cash voucher.

Cash Share-Out - A sum of fixed money is divided among all those returning the requisite number of proofs of buying the product or service.

Discounts - On single unit of higher value purchase sales through discount coupons is made.

Repurchase Offers- Manufacturers of consumer durables, like cars, fridges, stereos are offered a commitment by them to buy back at a specified in the future.

Frequent-user incentive - Most of the airlines offer this facility to their fliers. Economy class fliers can use free miles to upgrade their tickets.

Coupons - Issue of coupons is very popular way of sales promotion.

Sale - A sign on store item „sale“ can increase sales by 50%, even if the price is unchanged.

Finance Deals - Many manufacturers, especially, the consumer durables, give either interest free facility or finance at low rates to buy the product.

Prize Promotions.

Prize Promotions include free prize draws, sweepstakes, and competitions.

Free Prize Draws (and lotteries) - It involves putting the names of all the entrants in a computer and deciding winners by chance.

Sweepstakes/Games - “A sweepstake is a contest where the distribution of prizes is dependent on random distribution of predetermined winning tickets.” The participants exercise no control.

Competitions - A competition is a contest where the winner is determined on the basis of exercise of skill.

Sales force promotion contests.

Sales contests — Sale contests are declared to stimulate the sales force increase their selling interest.

Bonus to sales force - Bonus is the extra incentive payment made for those who cross the sales quota set for a specific period.

Sales meeting conventions and conferences - Sales meeting and conferences are conducted with a view to educate, train and inspire the salesmen.

Off - the Shelf Offers.

“Off-the-shelf offers” typically refer to products, services, or solutions that are readily available for purchase without the need for customization or special orders. The leading off-the-shelf offers can be:

Free Accommodation - Particularly for hotel industry, the offer now extends to be “two nights for price of one.

Holiday Vouchers - Some companies give cash discount, traveler cheques, duty-free shopping voucher, etc.

Discount coupons - In India firms like include Snapdeal.com, Sodexo provide discount coupons which can be redeemable. Snapdeal.com provides discount vouchers for health and beauty, entertainment and adventures, mobiles, apparel, lifestyle, electronics and travel categories.

Two-for One Flights - Especially budget airlines offer this facility.

Insurance Offers - Mostly the car manufacturers provide free insurance for the first year as part of sales promotion during slack season.

DIRECT MARKETING AND ONLINE MARKETING.

Direct marketing is the process by which a firm approaches its customers on one-to-one basis and markets its product directly to them.

According to Direct Marketing Association, “**Direct marketing is an interactive system of marketing which uses one or more advertising media to affect a measurable response and transaction at any location**”

ADVANTAGES OF DIRECT MARKETING.

Direct marketing offers the advantage of reaching large number of well-defined target customers and almost eliminates waste coverage.

There is a direct reduction on cost to serve customers due to less number of intermediaries in the value of network.

The companies are able to remove the non-value adding intermediaries from the channel: thus serve the customers with profit.

A marketing manager can measure the benefits of direct marketing programme and identify attributes responsible for the success or failure of marketing programs.

Direct marketing facilitates to reach prospects at just the right moment.

Direct marketing also offers greater opportunities for developing tailor made messages for particular groups of customers.

DIRECT MARKETING TECHNIQUES.

Direct marketing techniques are usefully and profitably employed by companies. The following techniques are used in direct marketing:

Mail Order Marketing.

Direct Mail Marketing.

Direct Response Marketing.

Database Marketing.

Telemarketing.

Teleshopping.

E – marketing.

Kiosk Marketing.

PERSONAL SELLING

Personal selling is the art of convincing the prospects to buy the given products and services. Though it is basically a method of communication, it is two ways as it involves direct face to face contact between the salesman and the prospect. It is the ability to convert human needs into wants. It is the process of contacting the prospective buyers personally and persuading them to buy the products.

According to American Marketing Association, **“Personal selling is the oral presentation in a conversation with one or more prospective purchasers for the purpose of making sales; it is the ability to persuade the people to buy goods and services at a profit to the seller and benefit to the buyer”.**

FEATURES OF PERSONAL SELLING

It is one of the important tools for increasing sales.

It is a two-way communication between salesmen and the prospect.

It is a persuading process to buy the goods and services.

The objective of personal selling is to protect the interest of both seller and buyer.

The essence of personal selling is interpretation of product and service features in terms of benefit and advantages.

PROCESS OF PERSONAL SELLING.

Selling is the sequence of steps involved in the conversion of human desire into demand for a product or service. Personal selling process involves the following stages.

Prospecting.

It is the work of collecting the names and addresses of persons who are likely to buy the firm's product or services. He collects the names from telephone directory, data base of departmental store, customer data base of airlines, social media, business associations and the like.

Pre approach.

Pre approach is to get more detailed facts about a specific individual to have effective sales appeal on him or her. It is closer look of prospects like habits, financial status, social esteem, family background, size of the family, tastes and preferences etc.

Approach.

Approach means the meeting of the prospect in person by the salesmen. It is a face-to-face contact with the prospect to understand him better.

Presentation and demonstration.

A good sales presentation is one that not only gives all the benefits that the prospect gets but also proves to the latter that he or she will be better off after the product is bought and used. An effective sales presentation demands the sales person use skills like presentation and explanation.

Managing objections.

This is the most important stage of personal selling. For every action of salesman there is prospect's pro action or reaction, i.e., approval or disapproval. An efficient sales man has the ability to identify the reasons for raising objections

by the prospects and the ways to overcome these objections.

Sale.

If all the above stages have been concluded successfully, then the next stage is ultimate sale of the product.

Follow up.

A representative of sellers visits the customer and ascertains the perception of the buyer as to the utility of the product. If the buyer experiences any problem. Let she should take steps to attend to it. He should assure the buyer all sorts of support from seller side.

METHODS OR TECHNIQUES OF PERSONAL SELLING.

Sales across the table.

Under this method, firm's executives negotiate sales across the table with the prospect. Industrial products are sold under this method.

Counter Sales: Company salesmanship sells the goods in the retail shop to prospects visiting the shop. The salesperson attached to the counter shows the product, explain its features communicates price etc. to the prospect. The salesman working in departmental stores, textile shops, watch dealer, electronic shops, electrical shops and so on sell the goods across the counter.

Selling at door steps.

Sales persons call on the prospects at their residence and present the product. This method is popular in selling insurance policies, selling textile wares, vacuum cleaners, fruits, vegetables and the like.

Auction selling.

Company's sales executive invites the prospective buyers to be present at the appointed place and time. The auctioneer appointed by the company invites bids from those who have assembled at the venue notified. He sells the goods to the highest bidder. He collects the sales proceeds and deposits into bank account.

(e). Tender selling.

Under this method, the selling company invites tenders from prospective buyers. The company stipulates conditions to be satisfied for eligibility to participate in the tender. The company set a deadline for submission of tenders and opens the tender quoted by various perspectives at the appointed time and place. The selling company selects buyer whose quotation is lowest or most profitable for the selling company.

PUBLIC RELATIONS AND SPONSORSHIP.

It is the actions of a corporation, store, government, individuals, etc. in promoting goodwill between itself and the public, the community, employees, customers, etc. It can be defined as the practice of managing communication between an organization and its public. Public relation is used to build rapport with employees, customers, investors, or the general public. This method of marketing does not aim at promoting a single product/service but the company as a whole.

This is done by spreading a positive feel about the company through various stories and articles or positive feedback from customers about the company in different media channels. In comparison to advertising, public relation is a very cost-effective method of marketing. A full-page advertisement of a product may fail to attract customers attention, but a positive response about the same from a satisfied customer when appears in the form of an article in the same newspaper will work wonders for the company. Public relation is quite understandably considered as a very genuine method of marketing. It creates a favorable atmosphere for conducting business of the firm.

According to UK Institute of Public relation, **“It is the deliberately planned and sustained efforts to establish and maintain mutual understanding between the organization and its public.”**

ADVANTAGES OF PUBLIC RELATIONS.*Credibility.*

The information communicated through public relation department is more reliable and it has more credibility. For e.g., an article in newspapers or magazines discussing the virtues of aspirin may be perceived very much as more credible than an ad for a particular brand of aspirin.

Cost.

In both absolute and relative terms, the cost of public relation is very low, especially when the possible effects are considered. While a firm can employ advertisement agencies and spend millions of dollars on advertisements, for smaller companies, this form of communication may be the most affordable alternative available.

Lead generation.

Information about the technological innovations, medical break-through and the like results almost immediately in a multitude of inquiries. These inquiries may give the firm some quality sales lead.

Ability to reach specific groups.

Because some products appeal to only small market segments, it is not feasible to engage in advertising and / or promotions to reach them. If the firm does not have the financial capabilities, to engage in promotional expenditures, the best way to communicate to these groups is through public relation.

Image Building.

Effective public relation helps to develop positive image for the organization. A strong image is insurance against later mis-fortunes.

Stimulate awareness.

Public relation techniques help to stimulate awareness among the customers regarding the products of the company and thereby creating demand for

your product.

TOOLS OR METHODS OF PUBLIC RELATIONS.

Public relations involve activities related to persuading customer and prospects to buy or continue to buy the firms products and services. The following are publicity tools:

News Letter.

Many companies issue periodically newsletters disclosing the development unfolding in the company like volume of production, sales achieved, tie up entered, expansion programs, foreign collaboration, list of achievers, research and development initiatives etc. The purpose of newsletter to provide authentic information about development in the company to share holders.

Press Releases or Special Events.

The press release is the basic building block of a publicity programme concerned with story placement. This is where the important information about the product or services is summarized in a way that will catch the media's attention.

Speaking Engagement.

Top executives or CEOs of an enterprise may be invited as a chief guest or special invitee for international and national conference, college day function, convocation event of university, workshop invited talk etc. inaugural ceremony and the like. The very participation of these key figures adds to the image of the company besides promotion a good relationship with host institution.

Sponsorship: Some corporate sponsor the programs like village adoption, blood donation, community development, infrastructure development, sports activities, mass literacy programs, free medical camp, sponsoring schools etc. All these positive initiatives are more likely to develop a good relationship between the company and local people.

Employee Relations.

Organizations employees are an extremely important internal public. Many companies offer subsidies, transport, canteen facility, housing facility, loan facility, reimburse the medical expenses and educational expense of dependent employees, upgrade qualifications of employees, provide participatory opportunities in decision making process, profit sharing, celebrate important events and anniversaries etc. all these initiatives strengthen relations between employers and employee. The satisfied employers serve as brand ambassador for the company and reveal that fullest performance in the relevant work.

Media.

Elite companies maintain good relations with media public. They support them by their advertisement budget support. Media people are invited for important events like launching new product, opening new show rooms, celebrating anniversary and launching community development programs. All these initiatives promote and strength relations with media companies. They promote company by encouraging articles favorable to the company.

Social Networking.

Social networking has emerged as vibrant online community interested in the news of many sorts. Face book Myspace, Bing, LinkedIn etc. are some of the top social networks used for updating one's profile; adding videos and pictures and compelling content that will catch the attention of the community.

Online Newsletter.

Contemporary companies bring out newsletter online. Online news letter is inexpensive. It enables the company to connect with audience on a regular basis and gets instant feedback through e-mail.

Message Boards and Forums.

Discussion threads message boards and forums are various channels to keep the online community or netizens posted of new developments unfolding in

any business. One can solicit views or suggestions for the issue an individual in facing.

DIFFERENCE BETWEEN ADVERTISING AND SALES PROMOTION.

- Advertising is different from sales promotion as it is clear from the following points.
 - The advertising is derived from the Latin word „advertere“ (turn towards), whereas Promotion has its roots in Latin word „pomovere“ (move forward).
 - Advertising is aimed at long-term building of positive brand attitude, whereas promotion is aimed at more short-term tactical goal of moving forward sales now.
 - Advertising deals indirectly with potential action by providing information or creating feelings that turn them towards the product/service. The promotion does not require an incentive. What is required is the primary communication objective is brand purchase intention.
 - The pursuits of advertising are of long term, whereas sales promotion offers short term pursuits.
 - Advertising is costly, but sales promotion is cheaper as compared to advertising.
 - Advertising is suitable for medium to large firms, whereas sales promotion is suitable for large firms.
 - Advertising has twin purposes of increasing sales and build brands, whereas sales promotion has an extra objective of providing knowledge.
 - Sales Promotion is direct effect on sales, whereas advertising assumes that sales will increase.
 - Advertising is done through newsprint, TV, Radio, Outdoor publicity, etc., however sales promotion is done through discount coupons, free stuff, tasting, contests, events, meets, etc.

- Result of advertising are slower and of sales promotion are faster.

DIFFERENCE BETWEEN PERSONAL SELLING AND SALES PROMOTION.

The following factors differentiate personal selling and sales promotion. Though both of them are part of a marketing communication. But both are effective tools for integrated marketing communications.

- Objective of personal selling is to create awareness and build a long-term relationship which will lead to closing the sale, whereas the objective of sales promotion is to increase the sales and dispose of stocks in a short span of time.
- Personal Selling is face-to-face interaction performed by individuals to give information on products and create mutual long-term relationships. Whereas, Sales Promotion has no interaction and provides incentives to encourage purchase and to disseminate information.
- Personal selling involves negotiations and incentive is not mandatory whereas sales promotion would have incentive definitely to lure customers.
- Personal selling is used for products having the characteristics of high value, or technically complex, or custom made. Whereas. Sales promotion is used for products having low value or easy to understand usage.
- Personal selling involves use in markets with less potential customers or customers with high purchasing power. Whereas, Sales promotion involves use in markets where a larger number of customers exists and the product is of low value comparatively.
- Personal selling is expensive as it needs sales force training, dedicated persons, repeated visits and transportation whereas sales promotion is bit less expensive to run compared to personal selling.

QUALITIES OF A GOOD SALESMAN OR QUALITIES REQUIRED FOR A SUCCESSFUL SALESMAN

Sales are made through specially appointed persons known as the salesmen. They are regarded as the key - men in the marketing team.

A salesman to perform all his functions must possess certain basic qualities. Sales personality is the total of everything about a salesman which makes its impression upon the customer. Personality can be produced and improved by developing qualities and traits are positive and not negative. The qualities required by an ideal salesman is classified under various headings are given below.

Physical Traits.

A good salesman must possess the following Physical Traits:

Health:

Sound health and good physique are very essential for a salesman. Travelling salesmen need good health as they have to travel to many places. A salesman who does not possess good health cannot do his functions properly.

Breadth:

If a person follows the rules for maintaining good health, he will not suffer from offensive breadth.

Posture:

The way or the style of holding the body is another controllable. A salesman must have a good posture when he meets his prospects. Good posture must be maintained both whilst sitting and standing although a salesman will generally be standing most of the time.

Voice:

The voice is very important for a salesman. It must be very expressive. The voice should not be hoarse, loud, nasal, high pitched or monotonous. It should be

pleasant. The voice is the index of one's own feelings. It should not irritate the customers.

Appearance:

It is sometimes remarked that appearance is a great factor in earning money and vice versa. Appearance would depend upon the following “

Health

Energy

Voice and speech

Poise and self confidence

Dress

Neatness

Mental Traits.

A successful salesman must develop certain mental qualities. Mental qualities include the following:

Teachability and Resourcefulness.

Flexibility

Judgement

Observation

Analytical abilities

Foresight and Self-confidence.

Business sense

Imagination and

Resource fullness

Social Qualities

The ability to make friends to get along with people is one of the most valuable assets in any walk of life particularly in the profession of a salesman. A salesman should develop certain social traits. Following is some of the important social qualities of a salesman.

Ability to meet the public:

A salesman should possess aptitude to meet the public. An introvert (one who dislikes to meet people) should not become a salesman. An extrovert (one who likes to meet people) would fit in the profession of salesmanship.

Effective speech:

A salesman's ability to speak correctly and with each impresses the public prospects and customers. Pleasant reactions are produced in a customer when the salesmen speak with a pleasant and well-modulated voice, correct grammar and good articulation.

Tact:

Tact means doing the correct thing at the right moment. This is a very essential quality to be developed by a salesman because he will come across various difficult situations which can be solved happily by tact.

Courtesy:

The salesman should always be polite and courteous. Using polite and courteous words, a salesman can turn prospects into customers

Good manners:

A salesman must cultivate good manners. Good manners is the ability to tolerate bad manners in others. A person's manners reveal his inner personality and is founded on consideration for others. Good manners are charming while bad manners are irritative. So bad manners should be avoided.

Co-operation:

Co-operative attitude is essential for the success of a salesman. Co-

operation between employer and employees as well as among the employees themselves would result in better business and happier working conditions. In order to co-operate, a salesman must be (I) loyal to the organization (ii) loyal to his customers (iii) loyal to his fellow workers.

Empathy:

Empathy is the mental ability of an individual to feel as the other person does. Empathy would allow the salesman to secure useful feedback from the client and modify, where required his sales presentation in terms of such feedback.

Character Traits

There are certain moral attributes of personality known as character traits which ought to be developed by a person desiring to improve this sales personality. There are certain desirable character traits which the salesman can and should develop. Following are the important character traits:

Honesty: Honesty is the best policy looking at it either from the moral or business point of view. A liar and a cheat may succeed temporarily but will eventually be found out in the market. A good salesman would form habits which communicate reliability.

Enthusiasm: Enthusiasm makes the work of a seller pleasant. Enthusiastic talk is always listened to by prospects. It gains interest and confidence of buyers and in turn more sales.

Persistence: A certain amount of persistence is also required for the salesman. A positive mental attitude is very essential for success as a salesman



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